

EDITORIAL

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FIVE REASONS WHY FRENCH GROWTH SHOULD PICK UP

In 2026, the government once again failed to stabilise its public debt-to-GDP ratio due to a significant fiscal deficit and lower-than-usual growth. According to our analysis, this underperformance is due to exceptional factors. Structurally, France can still generate growth that will help the public debt ratio to stabilise, provided that its budget deficit is brought down to approximately 3% of GDP. To achieve this, it has significant strengths: 1/ Improved competitiveness in terms of labour and energy costs; 2/ Its services sector, notably through the development and use of new technologies (including AI); 3/ An industrial recovery driven by aeronautics, military spending and electrification, which calls for increased investment; 4/ Accelerating business creation that supports employment; 5/ Its attractiveness to foreign investors. All of these structural drivers should enable French growth to rebound and join the expected acceleration in the Eurozone in 2027.

The French government will present its 2027 draft budget¹, while the presidential election looms on the horizon. Ahead of these major events, the French people are appearing very pessimistic about the picture in France. The [latest survey](#) by the Jean Jaurès Foundation reveals that nearly two out of three people use only negative words, with "worry" and "uncertainty" at the forefront. Furthermore, three-quarters expect the country's situation to deteriorate.

Indeed, the French economy has faced a series of setbacks since the beginning of the year. It narrowly avoided recession in the first half (a 0.2% q/q contraction of GDP in Q1 and stagnation in Q2), in contrast to the Eurozone, where growth excluding Ireland remained stable (0.3% q/q per quarter).

Even though exceptional factors are behind this underperformance², it is weighing on public finances (lower revenues), just like another exceptional factor: the conflict in Iran³. Consequently, the fiscal deficit is expected to increase to 5.4% of GDP in 2026 (compared to 5.1% in 2025), according to the government. According to our forecasts, the public debt-to-GDP ratio would reach 119% in 2026, compared to 115.7% in 2025.

Against this backdrop, France's ability to generate growth is crucial. Yet, even with fiscal consolidation which should, by its very nature, weigh on demand, we can identify five reasons to believe that the French economy can generate growth significantly above 2026 outcome (0.5% according to our forecasts).

1. FRANCE IS MORE COMPETITIVE

During the Eurozone crisis (2012–13), France implemented a policy to reduce labour costs through the Competitiveness and Employment Tax Credit (CICE). This was subsequently replaced, at the beginning of Emmanuel Macron's first term, by a 6-pp reduction in social security contributions. These labour-cost improvements persist today, whereas we have seen an acceleration over the last decade in wage growth elsewhere in Europe, notably in Germany. Alongside the relative improvement in French labour costs, the bilateral trade deficit with Germany has significantly decreased.

¹ We will review this in an *EcoFlash* scheduled for publication on 1st October.

² The municipal election cycle (around which local investment always contracts) has weighed on the economy, as well as the decline in agricultural production (more heavily than elsewhere in the Eurozone, notably due to the weight of corn production in France).

³ This has led to additional expenditure: debt servicing (indexed bonds made more expensive by rebounding inflation) and other spending (fuel subsidies and the budget for the military's external operations).

France's trade deficit with Germany has significantly reduced

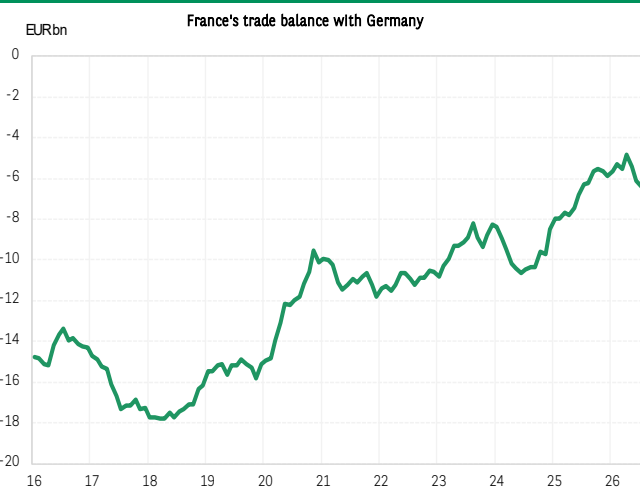


CHART 1

SOURCE: CUSTOMS, BNP PARIBAS

France produces more abundant and cheaper electricity

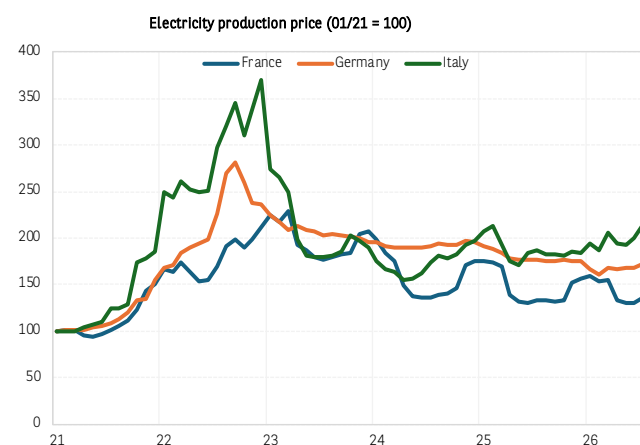


CHART 2

SOURCE: MACROBOND, BNP PARIBAS



BNP PARIBAS

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world

At the same time, France benefits from cheaper electricity which is also less sensitive to rising hydrocarbon prices because, in 2025, nearly 95% of electricity was produced through nuclear and renewable power⁴. Furthermore, electricity accounts for 27% of energy consumption in France, compared to a European average of 24%.

2. FRANCE: A EUROPEAN LEADER IN SERVICES, INCLUDING TECH, AND IN UPWARDLY REVISED GROWTH FIGURES

Services account for nearly 80% of French GDP, which is significantly higher than in the other major Eurozone countries. France is leading the race within the European Union in several sectors, including financial services, logistics and tech. This is resulting in a services trade surplus of nearly 1.7% of GDP, which is offsetting an equivalent external deficit in goods. This is also behind the investment in intellectual property products of around 5.5% of GDP in 2025, the highest rate among the major European countries.

Furthermore, nearly one in two French people now uses AI, compared to less than one-third in the United States, according to a study by the Microsoft AI Economy Institute. France ranks 4th in the world in this field. In Europe, it is surpassed only by Ireland (where many companies in the sector are concentrated). France's combined advantages (energy and digital culture) place it at the forefront of destinations for artificial-intelligence investment in Europe, particularly for data centres (announcements were made during the most recent Choose France summit).

Additionally, France is the country that revises its growth figures upwards most frequently. In a [recent study](#), we showed that ex-post revisions (as national accounts are only finalised 30 months after the end of a calendar year) were significant there. This phenomenon is likely linked to the weighting of tech in the investment of French companies, with the impact on activity measured more easily along time.

3. THE INDUSTRIAL RECOVERY IS TEMPORARILY SLOWED BY SUPPLY CONSTRAINTS

The French industrial rebound is real and is supported, in particular, by strengthening French comparative advantages in aeronautics and electrical equipment. It relies on rising global demand for these goods and a [European momentum that has been accelerating for several quarters](#). As a result, French goods exports increased by 5% in the early months of 2026 compared to the same period in 2025.

However, the industrial recovery is being hampered by the difficulty faced by companies in meeting demand. Since the end of the COVID-19 pandemic, industrial production has experienced a bumpy recovery. The most recent of output surges helped French growth to outperform between the 2nd and 4th quarters of 2025, when aeronautical production suddenly increased by nearly 20%. The increased delivery targets of the major companies in the sector could have driven further growth. This did not materialise, as manufacturing production decreased by 1.2% over the last three months for which data has been published (May–July) compared to the previous three months.

Production for companies with the most filled order books (aeronautics, electrical and electronic equipment) has been limited by a sharp rise in supply constraints. The production capacity of industrial companies puts them in a position to meet demand less effectively than before, due to both shortages of skilled labour and an insufficient number of production lines. This situation calls for more investment. The good news is that, according to the latest quarterly survey from Insee, investment intentions in the industry have rebounded significantly.

⁴ With the exception of 2022 (maintenance of nuclear power plants).

Renewed supply constraints have interrupted the industrial recovery

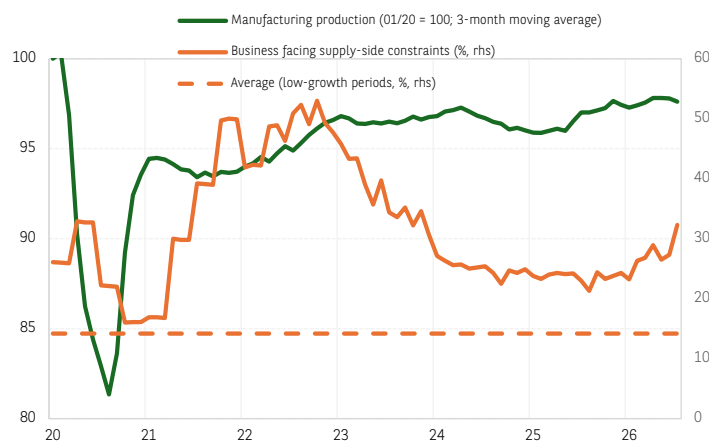


CHART 3

SOURCE: INSEE, BNP PARIBAS

4. STRONG BUSINESS CREATIONS SUPPORT EMPLOYMENT

When France undergoes a period of recession or low growth, business creation also tends to dive. This was the case during the Eurozone crisis in the first half of the 2010s, but that is not what we are seeing in 2026. Business creation has even seen its growth accelerate since the beginning of 2026, standing at +12% y/y. It is increasing more significantly in digital-related sectors (+46% y/y), which are benefiting from the wave of AI-related innovation. However, it is also progressing elsewhere, such as in trade (+13%) and construction (+9%).

Business creation is even increasing faster than business insolvencies (+5% y/y in the first half), with the rise in insolvencies [largely driven by stronger business creations](#).

The joint development of business creation and self-employment

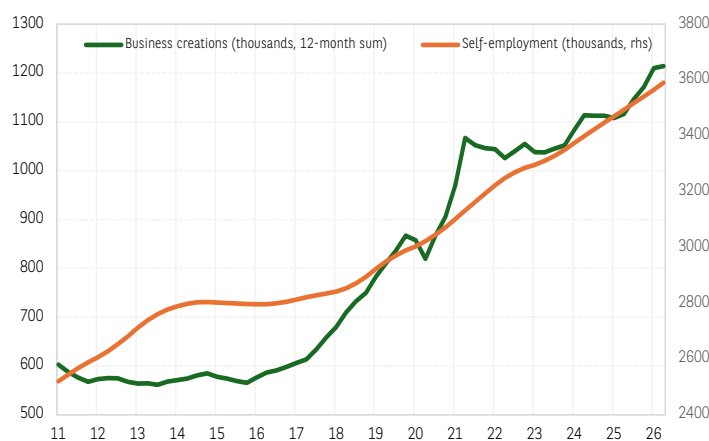


CHART 4

SOURCE: INSEE, BNP PARIBAS



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The increase in business creation is noticeable among companies (+5%) and even more so among micro-enterprises (+16%). This reflects the rise in self-employment. While payroll employment has seen a slight decline over the last two years (80,000 net job losses), part of this slowdown is linked to the increase in self-employment (204,000 net creations). Overall, France has continued to create jobs and the employment rate has reached historic highs.

5. FRANCE REMAINS ATTRACTIVE TO FOREIGN INVESTMENT

French has maintained its attractiveness despite the higher uncertainty. Uncertainty increased significantly following the dissolution of the National Assembly in June 2024, according to estimates from the Banque de France and Insee. However, France remains at the top of the European countries in international attractiveness rankings. The annual EY barometer notes a decrease in the number of projects in 2025 (-17%), but France has maintained its first-place position for the 7th consecutive year. Furthermore, against a European backdrop where the number of jobs per project has dropped sharply (-25%), it has remained overall stable in France (-4%). This is a sign that, while there are slightly fewer investments in number, their footprint on the French economy remains steady.

France's attractiveness is driven in particular by the development of services, as well as the quality of its infrastructure and logistical capabilities (including transport hubs, often on a European scale). Moreover, while France already boasts a developed tech sector, the country is well-positioned to attract foreign investment in AI (low energy costs and skilled labour).

French growth should return in 2027 to a level more in line with its strengths (our forecast is 1%). Given the prevailing interest rate conditions, this is a necessary condition⁵ for the public debt ratio to stabilise, provided that the government succeeds in bringing the fiscal deficit down to 3% of GDP.

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⁵ This is also a sufficient condition, provided that the effective interest rate remains below 3.5% (it is expected to stand at 2.1% in 2026 and 3.2% in 2030, according to our scenario).



[Find out more in our scenario and forecasts](#)

ADVANCED ECONOMIES

EUROPEAN UNION / EUROZONE

Strength on multiple fronts. Business activity in September, measured by the composite PMI, reached its highest level since April 2023 (53.1, +1.1pt). This was led by a strong improvement in the services index (53.0, +1.4 pt) while the manufacturing PMI was stable and comfortably in expansion (52.7). Input and output price indices both rose sharply, especially services output prices (56.1, highest since February 2024) indicating the energy price shock is spreading. New **car registrations** in the EU rose 4.5% y/y in August and 5.3% year-to-date in August. Electric cars' market share continues to rise (to 27.7% of new registrations year to date). Less positively, **bank loans** to corporates halved in August compared to July. On the **trade** front, the EU has adopted rare [provisional safeguard measures](#) (quotas and tariffs) against a type of industrial steel products, in response to a recent surge in imports from China. It also reached a "substantial agreement" on a new trade deal with The Philippines. As part of its efforts to safeguard the role of the euro in **DLT-finance**, the ECB has launched its new 'Pontes' project, which is a first step toward providing a digital euro for wholesale uses. Pontes creates a link between the TARGET2 interbank settlement system in central bank money and private DLTs. The ECB also announced it intends to purchase a limited amount of tokenised government bonds through its own balance sheet, to gain hands-on expertise in the digital asset ecosystem.

Upcoming: September European Commission Economic Sentiment Index (Tuesday).

ECB leadership race kick-started. While ECB watchers have been on tenterhooks for an official announcement by President Lagarde of an early departure (her term ends in October 2027), the news came from ECB Board member Isabel Schnabel announcing she would leave her role early, on January 3rd, 2027, to take on the role of Financial Counsellor at the IMF. The Eurogroup of finance ministers is now expected to take a package approach to choosing successors for the President, as the Board seat left vacant by Ms. Schnabel and the Chief Economist post is due to become vacant in May. The final decision on the Presidency rests with European Leaders. Country and gender balance considerations will be paramount.

France. Back to expansion, but mixed signals. The flash composite PMI returned to expansion for the first time since November 2025, reaching 51.2 in September after 48.5 in August. The improvement is driven by services, at 51.4 (+3.4 m/m), while the manufacturing PMI fell slightly to 50.3 (from 51.1 in August). Insee's business climate, however, fell back to 96 in September from 98 in August (100 = long-term average). It was weighed down by services, retail and wholesale trade. The business climate was stable in the manufacturing sector (101) and construction (96). Both surveys concur on the fact that selling price pressures are increasing in the manufacturing sector. Consumer confidence was stable for the 3rd consecutive month, at 86 in September (20-year average: 93). The government has announced an increase in fuel subsidies amounting to EUR 450 million. This measure is not expected to deteriorate further the fiscal deficit (projected by the government at 5.4% of GDP in 2026).

Upcoming: September Inflation (Wednesday); Draft budget law and final manufacturing PMI (Thursday)

Germany. Business activity and sentiment improve further. The composite PMI for September was above expectations by rising to 53.8 (+2 pts m/m), its highest level in 11 months. This was driven by the services sector returning to growth after five months of contraction (52.9; +3.2 pts m/m). Growth in the manufacturing sector leveled off slightly but remains robust. The production index stood at 55.9 (-0.8 pt m/m). Companies are reporting further signs of resilience, with an acceleration in production, stable outlooks, rising employment in services, and stabilisation in manufacturing. Price pressures are elevated and, in most categories, rising. Meanwhile, the September Ifo index of business climate rose to its highest since May 2023 (89.9; +1.2pts). Expectations for business development in the next 6 months rose to an 11-month high of 90.4 (+1.4pts). All sectors saw improvements in their indicators. Consumer confidence deteriorated further, however: the GfK index deteriorated to -30.6 in October (-3.8 pts m/m, its lowest since last May), driven by a significant drop in income expectations. Still, the decline in consumer sentiment was partially mitigated by a fifth month of improving economic expectations.

Upcoming: August retail sales, September unemployment rate and flash inflation (Wednesday).

UNITED KINGDOM

Rate hike increasingly likely, as indicated by the Bank of England's Governor and two Deputy Governors (owing to the persistence of the energy price shock). Resilient activity points in the same direction: September PMIs showed continued expansion (composite fell slightly to 51.7), with services slowing down (51.7; -0.8 m/m), and manufacturing accelerating (to 52, +0.3 m/m) due to resilient demand in AI and defence. Business optimism held steady at a six-month high and manufacturing confidence reached its strongest point since February on robust investment and new projects, offsetting a slight dip in services caused by geopolitical concerns. GfK Consumer Climate unexpectedly rose to -13 in September (+1 m/m), hitting its highest level since August 2024 due to improved personal finance and economic outlooks.

Upcoming: Q2 GDP Final (Thursday); BoE DMP Firms Price Expectations survey (Friday).

UNITED STATES

A 'good news is bad news' week. PMIs are typically little watched in the US owing to low correlation to GDP, nevertheless this week they were a key trigger for a brutal selloff in US yields across the curve, featuring 20+ basis point moves and a very weak 5Y bond auction. Hawkish Fed speakers talk also contributed (Barr, Williams, Paulson). The preliminary September composite PMI reading surged to 58.4, a five-year high, defying expectations of a drop. Both the Services and Manufacturing PMIs rose to multi-year highs. New orders, employment, and input prices all rose sharply, with input price growth accelerating. Core capital goods orders (non-defence, ex-aircraft) rose 1.6% m/m in August, well above expectations, after an upwardly revised +0.6% m/m in July — extending the momentum in business equipment investment. The US 30-year yield rose to 5.53%, its highest since 2004. The 10Y touched 5.23%. 30-year mortgage rates are at 7%.

Upcoming: GDP final estimate for Q2, August PCE report (Wednesday); September ISM manufacturing (Thursday); September non-farm payroll/employment report (Friday).



[Find out more in our scenario and forecasts](#)

UNITED STATES / CHINA

Just a trade truce extension. On the eve of the Trump-XI Summit, the United States and China have extended their trade truce by two months, until 10 January. This highlights both their willingness to avoid new trade tensions and their inability to find a durable agreement on most key topics. Outstanding trade issues include Chinese purchases of US agricultural products, rare-earth supplies and tariff reductions on bilateral trade. Following the Leaders' Summit, where AI and Iran were also discussed, the trade ministers announced a deal to apply a low tariff regime to \$30bn of non-sensitive goods imported by each side.

JAPAN

No more (need for) reflationism. This stance was endorsed by both the ministers of Finance and Economic Growth on Friday 25th, as Prime Minister Takaichi told President Trump in New York that the weak Yen was a concern. The Yen strengthened, by 1.2% on the same day, to 157 per dollar. This should leave the BoJ freer to tighten monetary policy at the needed pace (we expect 2 more hikes by March 2027). Its underlying inflation indicator — CPI excluding fresh food and special factors — rose to 2.6% y/y in August from 2.3% in July, while business activity remains in steady expansion: the Composite PMI registered its 18th consecutive month of expansion in September, falling slightly to 52.5 (-1 pt m/m). Strong external demand for semiconductors, AI, and defence offset less dynamic domestic demand, especially in services. Cost pressures are moderating but remain high.

Upcoming: August industrial production and retail sales (Wednesday), TANKAN survey (Thursday).

EMERGING ECONOMIES

Buoyant debt. Hard currency debt issuance is on track for another record year, after an already strong 2025, despite the rising global rates environment. \$190 bn have been issued over January-August, about USD30bn more than over the same period last year. Qatar and Saudi Arabia even returned to the market this month.

Central Banks divergence. Central banks kept monetary policy on hold in Hungary (at 5.50% after three consecutive rate cuts, with inflation at 1.3% y/y in August), Indonesia (at 5.75% despite renewed depreciation of the rupiah, -2% against the USD since the beginning of September), Mexico (at 6.50%, for the third consecutive time), and Morocco (unchanged at 2.25% despite low inflation at 0.3% on average in the first 8 months of the year). Meanwhile, monetary authorities hiked the benchmark rate in South Africa (by 25bp for the second time since the start of the Iran war, to 7.25%). It occurred despite softer-than-expected inflation in July, at 4.4% y/y), and cut in Nigeria (by 350bp, to 23%. CPI inflation has been broadly stable since the start of the year, averaging 15.5% y/y over January-August).

Hungary. Back on the EU integration path. The Central Bank announced the inflation target will be gradually reduced to 2.5% from 2028 vs. 3% currently, in line with the objective to adopt the euro in the medium term. Meanwhile, the European commission has proposed to unlock EU funds worth EUR 4.2 bn (1.8% of GDP) in light of progress in the rule of law; it is still subject to the council's vote.

ENERGY

Crude oil. Prices rose slightly over the week (106.7 USD/b Monday, 28th morning, +6.4% w/w) as ongoing negotiations did not provide better prospects for the oil market. The gap with physical barrel (Dated Brent) remains quite large (18.7 USD/b on Friday). On a better note, KSA has restarted its East-West pipeline, which should progressively recover its full transit capacity (4mb/d).

Diesel. US export restrictions? With Diesel prices reaching all time highs in the US (near USD 6.5/gal) six weeks away from the mid-term elections, the Trump administration has indicated it is considering a diesel export ban. Experts believe a ban would at best provide short-term relief to diesel prices in parts of the US, so it is not a foregone conclusion that export restrictions will be adopted. Most industry leaders and European leaders have been pleading against them (the US contributes to 40% of EU imports of diesel). In Europe, French President Macron has urged for a release of strategic reserves and regulatory changes to increase refining capacities in the near term. Given its critical role throughout the economy (in farming, transportation and some industrial usages), high diesel prices have a particularly broad stagflationary impact. US crack spreads declined by 10% w/w (to 98.2 USD/b), but the European benchmark declined as well (-0.2% w/w to 91.6 USD/b), thanks to adequate inventories.

European gas benchmark. Stable this week (to 73.8 EUR/MWh) on the back of an acceleration in EU stock refilling (70.9% of full capacity for a target at 80% by end-October).



MARKETS OVERVIEW

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Bond Markets

	In %	In bps			
	25/09/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	3.28	+1.0	+47.7	+119.6	+126.9
Bund 5Y	3.41	+7.0	+50.6	+95.0	+109.4
Bund 10Y	3.60	+9.0	+42.6	+73.6	+86.2
OAT 10Y	4.62	+20.5	+67.0	+112.1	+108.8
BTP 10Y	4.55	+15.4	+58.8	+105.4	+92.9
BONO 10Y	4.07	+12.7	+46.8	+82.0	+78.1
Treasuries 2Y	4.84	+18.0	+66.9	+136.3	+113.9
Treasuries 5Y	4.98	+16.9	+65.4	+125.8	+123.4
Treasuries 10Y	5.16	-1.2	+54.6	+99.5	+3.2
Gilt 2Y	4.70	-11.3	+36.4	+94.4	+66.9
Treasuries 5Y	4.91	-5.0	+37.6	+106.6	+73.2
Gilt 10Y	5.36	-3.9	+28.3	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	25/09/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.14	-1.2	-2.3	-2.9	-2.4
GBP/USD	1.32	-1.7	-2.9	-1.5	-0.8
USD/JPY	157.17	+1.6	-1.3	+0.3	+5.0
DXY	100.97	+1.6	+2.1	+2.7	+0.7
EUR/GBP	0.86	+0.5	+0.6	-1.4	-1.6
EUR/CHF	0.94	+0.0	+0.8	+1.5	+1.1
EUR/JPY	179.19	+0.4	-3.6	-2.7	+2.6
OIL, Brent (\$/bbl)	104.26	-1.2	+17.7	+71.3	+50.1
Gold (\$/ounce)	4280	+0.1	-7.6	-1.0	+14.6

Equity Indices

	Level	Change, %			
	25/09/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4958	+1.0	-0.4	+11.9	+16.6
North America					
S&P500	7743	+1.6	+0.9	+13.1	+17.2
Dow Jones	51829	-1.1	-3.3	+7.8	+12.8
Nasdaq composite	27069	+3.4	+3.5	+16.5	+20.9
Europe					
CAC 40	8078	-0.5	-4.3	-0.9	+3.6
DAX 30	25409	-0.1	-3.3	+3.7	+8.0
EuroStoxx50	6303	+0.7	-2.4	+8.8	+15.8
FTSE100	10695	-0.0	-1.8	+7.7	+16.1
Asia					
MSCI, loc.	1959	+1.0	-0.7	+16.0	+22.0
Nikkei 225	66364	+4.5	+0.8	+31.8	+45.0
Emerging					
MSCI Emerging (\$)	1732	+2.0	+1.7	+23.3	+28.9
China	72	-1.0	-3.8	-13.3	-18.7
India	911	-1.6	-5.2	-13.9	-10.9
Brazil	1879	-2.4	+2.4	+14.2	+20.2

Performance by sector

Eurostoxx600

Year 2026 to 25-9, €

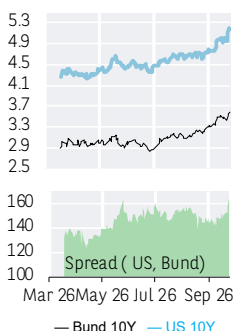
+36.6%	Oil & Gas
+22.3%	Commodities
+21.2%	Technology
+20.4%	Banks
+14.6%	Chemical
+9.5%	Industry
+8.7%	Telecoms
+7.8%	Eurostoxx600
+7.7%	Utilities
+4.3%	Insurance
+3.6%	Financial services
-0.9%	Food industry
-2.8%	Travel & leisure
-3.0%	Health
-4.8%	Retail
-4.9%	Media
-6.9%	Construction
-7.0%	Real Estate
-16.4%	Consumption Goods

S&P500

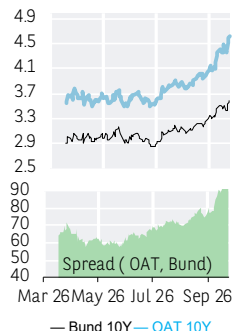
Year 2026 to 25-9, \$

+43.8%	Semiconductors
+38.8%	Tech. Hardware & Equip.
+38.4%	Energy
+20.0%	Pharmaceuticals
+13.6%	Capital Goods
+13.1%	S&P500
+10.5%	Food, Beverage & Tobacco
+9.8%	Materials
+6.0%	Media
+4.1%	Bank
+3.1%	Retail
+2.4%	Consumer Discretionary
-1.2%	Insurance
-2.0%	Telecoms
-5.4%	Healthcare
-7.4%	Utilities
-9.7%	Commercial & Pro. Services
-10.7%	Consumer Services
-15.9%	Automobiles
-32.1%	Real Estate

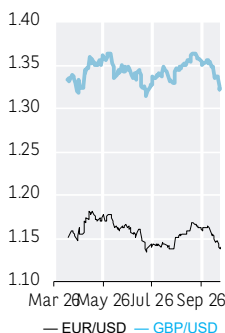
Bund 10Y & US Treas. 10Y



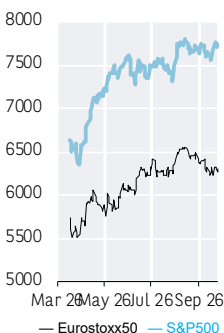
Bund 10Y & OAT 10Y



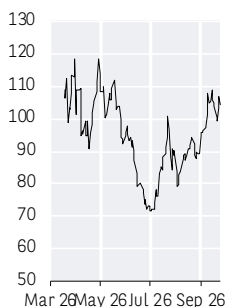
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent (\$/bbl)



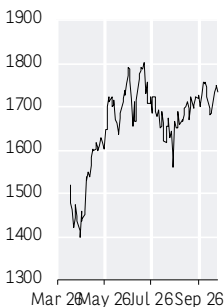
Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB



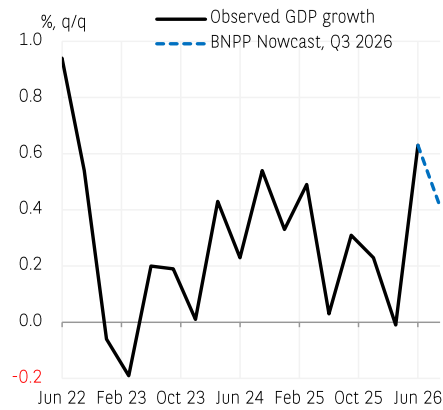
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The scenario, forecasts and nowcasts of the Economic Research – 28 September 2026

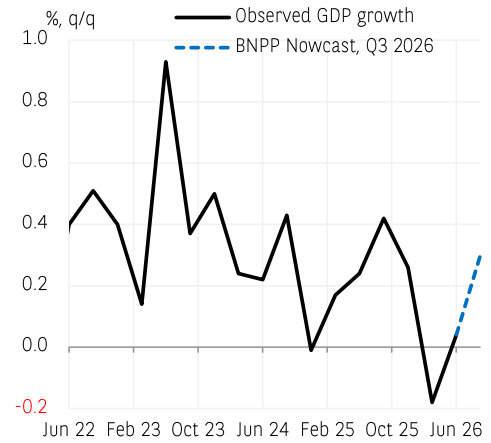
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



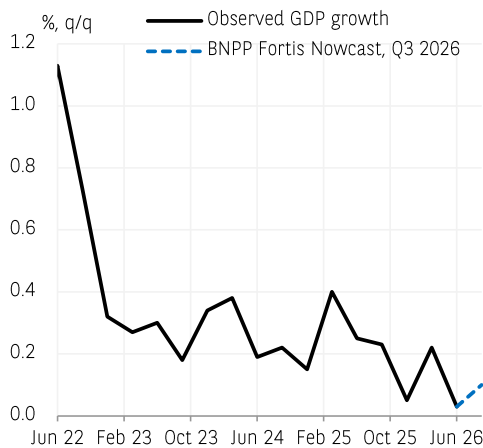
Our nowcast for Eurozone growth points to resilient growth in Q3 (+0.4% q/q) driven by the solid improvement in the PMI surveys.

France



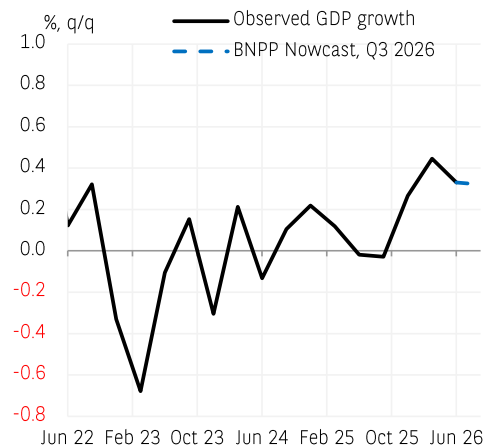
Our nowcast for French GDP growth suggests a recovery in Q3 2026, at +0.3% q/q, albeit the impact of the heat wave on agricultural production is a downside risk.

Belgium



Our nowcast for Belgium GDP growth suggests a mere growth performance in Q3 (0.1% q/q, after 0% in Q2). The business climate is low, as inflation pressures bind.

Germany



German growth is expected to remain stable in Q3 according to our *nowcast*, at +0.3% (following +0.4% in Q1 and +0.3% in Q2). It would remain supported by exports. Industrial production remains well-oriented this quarter according to the latest business survey results.

Read the Nowcast methodology
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth				Inflation			
	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2.8	2.1	2.2	2.3	2.9	2.7	3.4	2.3
Japan	-0.2	1.2	1.0	1.2	2.7	3.1	2.0	2.5
United Kingdom	1.0	1.3	1.2	1.3	2.5	3.4	3.2	3.2
Euro Area	0.9	1.3	1.1	1.5	2.4	2.1	3.0	2.8
Germany	-0.5	0.3	1.1	1.3	2.5	2.3	2.7	2.6
France	1.1	0.9	0.5	1.0	2.3	0.9	2.4	2.3
Italy	0.6	0.7	0.9	0.8	1.1	1.6	2.9	2.1
Spain	3.5	2.8	2.6	2.2	2.8	2.7	4.0	3.9
China	5.0	5.0	4.6	4.5	0.2	0.0	1.0	1.2
India*	7.2	7.8	6.7	6.9	4.6	2.1	5.0	4.6
Brazil	3.4	2.3	1.9	1.3	4.4	5.0	4.5	4.6

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 14/09/2026

* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026		2027			
		Q3	Q4	Q1	Q2	Q3	Q4
US	Fed Funds (upper limit)	4.00	4.25	4.50	4.50	4.50	4.50
	T-Note 10y	-	4.95	4.95	4.90	4.85	4.80
Eurozone	deposit rate	2.50	2.75	2.75	2.75	2.75	2.75
	Bund 10y	-	3.50	3.40	3.30	3.25	3.20
	OAT 10y	-	4.43	4.40	4.25	4.18	4.10
	BTP 10y	-	4.38	4.33	4.18	4.08	3.98
UK	BONO 10y	-	3.98	3.90	3.74	3.65	3.55
	Base rate	3.75	4.00	4.00	4.00	3.75	3.50
Japan	Gilts 10y	-	4.90	4.80	4.70	4.65	4.50
	BoJ Rate	1.25	1.50	1.75	1.75	1.75	2.00
	JGB 10y	-	2.90	2.95	2.95	3.15	3.25

Exchange Rates		2026		2027			
		Q3	Q4	Q1	Q2	Q3	Q4
USD	EUR / USD	-	1.14	1.14	1.16	-	1.20
	USD / JPY	-	163	163	163	-	163
	GBP / USD	-	1.34	1.36	1.38	-	1.43
EUR	EUR / GBP	-	0.85	0.84	0.84	-	0.84
	EUR / JPY	-	186	186	189	-	198

Brent		2026		2027			
		Q3	Q4	Q1	Q2	Q3	Q4
Quarter Average							
Brent	USD/bbl	87	81	78	79	81	80

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 14/09/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.2%, close to the 2025 rate (2.1%). This apparent resilience to the uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.4% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these latter appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, the FOMC proceeded with a first rate hike at September's meeting and we expect two further 25bp increases in December 2026 and January 2027, bringing the Fed Funds target range at 4,25% - 4,50%.

CHINA

Economic growth slowed to 4.3% y/y in Q2 2026 vs. 5.0% in Q1. It is projected to reach 4.6% in 2026 as a whole, down from 5% in 2025. Growth remains characterized by a K-shaped trajectory, and the gap between the strong performance of exports and the fragility of sectors that rely on domestic demand has even widened this year. Domestic demand has weakened significantly in recent months. Retail sales have barely increased, the crisis in the property sector has continued and household confidence remains low. Fiscal policy measures aimed at supporting economic growth are expected to increase in the second half of the year. CPI inflation has rebounded slightly since last March, mostly due to the rise in global energy prices, as well as due to the increase in electronic good prices and anti-involution measures implemented by the authorities. Deflationary pressures persist, however, given weakness in domestic demand.

EUROZONE

Eurozone growth is expected to slow to 1.1% in 2026 (from 1.3% in 2025), before strengthening to 1.5% in 2027, supported by higher defence and infrastructure spending as well as the global AI capex cycle. The economy has proven resilient to the energy shock, notably thanks to the increasingly tangible impact of German defence spending on the real economy. Elevated energy prices in the autumn (especially for natural gas), combined with resilient growth, are set to accelerate inflation to a peak around the turn of the year. Annual average inflation is thus expected to reach 3.0% in 2026 (from 2.1% in 2025), before easing to 2.8% in 2027. Given persistent inflation and resilient growth, we anticipate another 25bp hike from the ECB in December 2026, bringing the deposit rate to 2.75%, followed by an extended pause. That said, stronger than expected second-round effects could lead to more tightening than our current baseline.



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FRANCE

GDP growth remained low in Q2 (0% after -0.2% in Q1) as a result of deteriorated agricultural and construction output, as well as higher inflation (2.4% in 2026 according to our forecast, after 0.9% in 2025). In 2026, GDP growth should reach 0.5% (after 0.9% in 2025), driven mainly by exports.

UNITED KINGDOM

UK GDP growth would ease slightly to 1.2% in 2026 (1.3% in 2025), before edging back to 1.3% in 2027. The economy has so far weathered both the energy price shock and domestic political volatility. That said, growth is expected to decelerate in the second half of the year, while inflation is set to remain stubbornly above target (averaging 3.2% in both 2026 and 2027), driven by higher energy prices and mounting second-round effects. In response, we expect the BoE to deliver a single *insurance* hike in November 2026, bringing the Bank Rate to 4.00%. The BoE is then expected to resume easing in H2 2027, with two cuts taking the Bank Rate to 3.50% by end-year.

JAPAN

Following 1.2% in 2025, Japan's GDP growth is expected to decelerate to 1.0% in 2026, before rebounding to 1.2% in 2027. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is supported by fiscal policy and AI-related investment. Inflation has generally overshoot the 2% y/y target since 2022. Accordingly, the Bank of Japan initiated a cautious process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.25% so far (previously negative) – the highest since 1995. We expect two more hikes by the end of Q1 2027, followed by a return to a more cautious pace until the terminal rate of +2.5% is reached in H2 2028. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

We expect Fed hikes to temporarily offset structural headwinds and support the dollar. EUR/USD would target 1.14 by end-2026, before the dollar's structural downtrend resumes toward 1.20 by end-2027, although political and fiscal risk may weigh on the euro next year. The USD/JPY appreciation would continue but at a more moderate pace, with the BoJ still behind the curve despite its hikes. By contrast, GBP/USD would see relative support underpinned by a modest fiscal risk premium under the new Labour government, and resilient growth.



EDITORIAL

3

RESILIENCE TO SHOCK AFTER SHOCK

History tends to repeat itself in advanced economies. Once again, growth ultimately fell short of expectations by only a small margin in the first half of 2026, despite the conflict in Iran. As early as 2025, the impact of tariffs was less severe than feared. This is a sign that structural factors (notably AI, defence and electrification) are underpinning growth in these countries and are expected to continue to do so in 2027. However, there are significant risks to the economic outlook, primarily of a geopolitical nature, with a significant upside risk to inflation and interest rates. The other instance of history repeating itself concerns a period that those under 20 cannot have experienced: the period leading up to the 2008 crisis, echoes of which can be seen in terms of growth, inflation, the direction of monetary policy, and long-term interest rates.

Advanced economies are experiencing trends similar to those they faced nearly 20 years ago:

- **Growth remains resilient in 2025-26 despite shocks**, as it did in 2006-07, in the major advanced economies.
- **Inflation is above central banks' targets**: as in 2006-07, this calls for a tightening of monetary policy.
- **In Europe and the United States, long-term interest rates have returned to their 2006-07 levels (1996 in Japan)**: a challenging environment for public finances in a context where public debt ratios are significantly higher than those seen 20 years ago.

THE GLOBAL ECONOMY IN THE MIDST OF A GROWTH CYCLE

We are already well into 2026, and the picture so far is clear: **global growth is proving resilient**. Following a US tariff shock last year, growth is once again proving, for the time being, to be significantly less affected by the conflict in Iran than had been anticipated when it first broke out. Initially, however, there were fears that this new shock would hit growth even harder. As with the tariff hike in 2025, the impact was measurable, particularly in terms of consumer confidence. But in both 2025 and 2026, growth has also shown a degree of resilience.

The figures for the second quarter bear this out, despite the sharp rise in oil prices, the recessionary impact of which is not yet apparent. According to our forecasts, growth was expected to reach or exceed 1% in 2026 in the four major advanced economies (the Eurozone, Japan, the United Kingdom and the United States, where it exceeds 2%) for the second consecutive year. This had not happened (excluding the post-COVID catch-up period) since 2006-07. Growth figures are more moderate (particularly for demographic reasons), but the private sector is not (at present) showing the same excesses (at that time, the credit boom had preceded the worst crisis since the 1930s); although debt levels have recently risen in the US tech sector.

The driving force behind the current growth cycle is clear: artificial intelligence (AI). It is fuelling global trade and business investment in most countries. This is clearly the case in the United States, where business investment is growing strongly as investment plans in the US tech sector are implemented.

However, the world's major economies are currently engaged in a broader push to expand their capital goods investment. Alongside the ongoing development of services—particularly digital services—we have seen a rebound in industrial production in most countries since early 2025. The leading sectors are primarily technology equipment, machinery, aeronautics, defence and their essential inputs (energy and metals). This trend is evident everywhere, including in Europe, and is becoming entrenched over the long term, with an improvement in business climate indicators, particularly new export orders. Growth is therefore expected to strengthen further in 2027, particularly in the Eurozone, where German investment plans are set to gather momentum and whose spillover effects will have a greater impact on the economy.

Growth is more resilient to shocks than initially anticipated

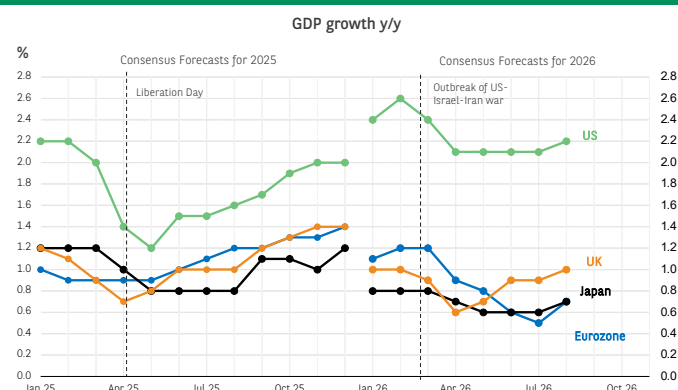


CHART 1

SOURCE: CONSENSUS FORECASTS, BNP PARIBAS

Growth is expected to pick up in 2027

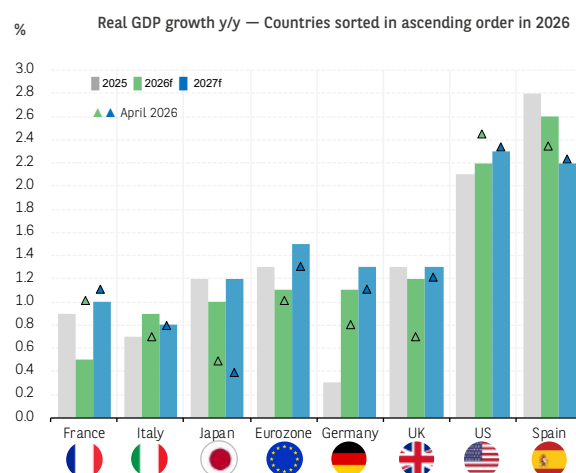


CHART 2

SOURCE: LSEG, BNP PARIBAS

However, not all sectors are experiencing the same momentum. This is particularly true for the sectors that depend on household consumption, which has shown mixed trends. [Our observation that consumer spending is more buoyant in the United States than in Europe](#) was confirmed in 2026, and the outlook does not point to a change in this ranking.



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While European and US households are experiencing more or less the same energy price shock, inflation remains higher in the United States. But this has not prevented consumer spending from keeping pace, primarily because it is driven by the wealthiest households, who are less sensitive to inflation than to the wealth effect. Furthermore, while the savings rate remains high in the Eurozone, US households have been drawing down their savings. This is also true of British households, which explains why the UK has seen slightly stronger growth since the beginning of the year. In Japan, government spending has partially offset energy inflation (while other countries are doing so to a much lesser extent than in 2022), which has supported consumption growth.

However, these buffers—reduced savings or fiscal support—have their limits when shocks persist. The two major current conflicts (Iran and Ukraine) are far from being resolved, and their impact is continuing. This persistent geopolitical risk and its implications for inflation represent a significant headwind to the growth outlook for 2027.

HIGHER INFLATION CALLS FOR MONETARY TIGHTENING

Inflation is exceeding the target set by three of the four central banks examined in this publication, which is another similarity (albeit with different underlying causes) with the 2006-07 period. Japan is the exception, as government support measures for households are temporarily holding back inflation.

Apart from the Bank of Japan, which is engaged in a long-term normalisation process, no central bank was expected to raise its key rates in 2026. But they are now being prompted to do so for reasons that vary from one region to another. The first is the conflict in Iran and the resulting rise in oil prices, which triggered a rebound in energy inflation from the second quarter onwards. However, since the conflict was not resolved by the memorandum of understanding signed in June, and given that the subsequent drop in oil prices proved short-lived, inflation is expected to rise again. The rise in gas prices is expected to exacerbate the impact, particularly in Europe, where inventories are being replenished ahead of winter. Electricity prices are expected to follow suit in most countries, but at a more moderate pace than in 2022. Indeed, gas is now used less to generate electricity than it was at that time (thanks to the expansion of renewable energy), and to an even lesser extent in France.

There is a significant risk that energy inflation will spread further to other components of inflation in the future, and inflation expectations could eventually reflect this. This is why the European Central Bank has already raised its key interest rate twice (in June and September) and, according to our scenario, will likely do so again in December. For the same reason, we expect the Bank of England to raise its policy rate in November. Although the cap on energy prices was maintained for a long time, it has now been raised. As a result, inflation is expected to rise between now and the end of the year. The aim will then be to prevent second-round effects.

Inflation can also be a sign of (too much) economic strength. In the United States, it has exceeded the 2% target since 2021. The main argument in favour of a new cycle of rate hikes (following the one in 2022-2023) lies in the current resilience of growth and the improving labour market. The Federal Reserve (Fed) must balance two equally important objectives: maximum employment and price stability. However, unlike in the 4th quarter of 2025, when the decline in job creation justified monetary easing (by 75 basis points), the current sharp rebound in job creation completely reverses that analysis. According to our forecasts, the unemployment rate is expected to decrease in the coming months, which pushes back the prospect of a decline in core inflation. This situation persists due to both supply constraints

Inflation is expected to remain above the central banks' target in the coming months

Consumer Price Inflation (y/y) — Countries sorted in descending order in 2026

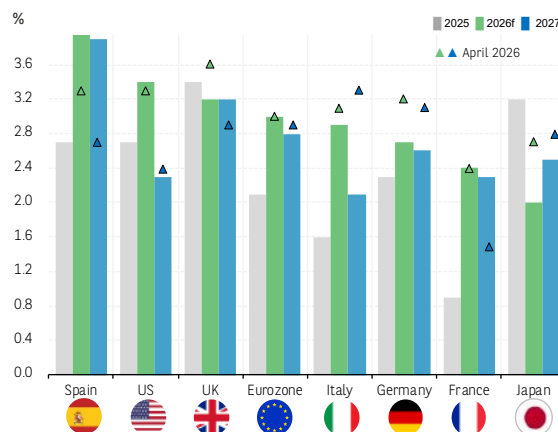


CHART 3

SOURCE: LSEG, BNP PARIBAS

(over which a central bank has no control) and excess demand (which the Fed can, however, mitigate). Consequently, the Fed raised its key rate in September and is expected to implement two further rate hikes between now and January 2027.

In Japan, finally, while headline inflation has been brought down by government support measures, core inflation remains significant. Wage pressures are mounting against a backdrop of labour shortages. The Bank of Japan is therefore being forced to accelerate the pace of its monetary normalisation.

In all these regions, inflation is currently expected to peak in Q4 2026 or Q1 2027. It is against this backdrop of temporary inflation that rate hikes could also come to an end by that time (excluding Japan). However, this assumes that once the energy shock—the course of which remains uncertain—subsides, inflation will fall. The effects of El Niño, which are still difficult to gauge at present, could take over. Inflation would then remain above the central banks' target for a longer period. Under this scenario, rate hikes would go further than is currently envisaged.

THE RISE IN LONG-TERM INTEREST RATES: A FACTOR THAT WILL WEIGH ON PUBLIC FINANCES

Monetary policies have also to offset the inflationary effects of fiscal policy, particularly in the United States (where the budget deficit is high and shows no signs of shrinking) and in Japan (where the new government is pursuing pro-growth policies). In Europe, fiscal policy is playing a much smaller role than it did in 2022. While the stimulus measures implemented at that time did help reduce the inflation rate in the short term (by nearly 2.5 pp in France, for example), by keeping demand at a high level, they delayed disinflation and increased the scale of the monetary tightening required.

The outbreak of the conflict in Iran acted as a catalyst: it triggered a rise in long-term rates (which had been trending downwards at the start of the year) to levels close to those of 2006-07. This rise is widespread, but its causes vary. Inflation expectations appear to play a more significant role in the Eurozone, whereas the rise in real interest rates seems to be the main factor in the United States and Japan.



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Higher inflation and more resilient real growth than feared point in the same direction: stronger than expected nominal growth that is likely to be sustained. However, in the long term, high nominal growth tends to drive up nominal interest rates (as it is a positive sign of more profitable investment projects), in contrast to the problem of secular stagnation raised in the 2010s (which combined low nominal growth with low nominal interest rates).

The other issue is the high level of fiscal deficits (too high for a period of growth), with various situations. In several countries, the public debt-to-GDP ratio continues to rise. In the United States, deficit reduction does not appear to be a priority, to the extent that it is expected to remain above 6% of GDP at the very least until the end of Donald Trump's term of office (with little hope that the mid-term elections will significantly alter this trend). In the United Kingdom and France, fiscal consolidation has begun, but it is being hampered by the simultaneous increase in certain areas of expenditure (debt servicing, defence and healthcare, due in particular to an ageing population), which is slowing the pace of consolidation. In Germany, the implementation of investment plans is leading to a widening of the deficit. While this does not pose a sustainability problem, it does result in an increase in annual debt issuance. In Japan, the budget deficit is kept in check by interest payments that remain low, as the rise in interest rates is recent and the average maturity of the debt is high (10 years). However, expansionary fiscal policy could pose further problems in terms of debt dynamics if it were to continue through the end of the decade. In Italy and Spain, fiscal consolidation has been sufficient to stabilise the public debt-to-GDP ratio (and even to reduce it in Spain), but the high level of Italy's debt service it vulnerable to a rise in interest rates.

In all these countries, the fiscal arithmetic is simpler today than it will be in 2030. Indeed, in most cases, only half of the debt was issued after 2022 (that is, after the end of the zero-interest-rate period). The debt service has so far only partially risen, except in the United States, where most of the increase has already occurred due to a shorter average debt maturity (6 years). This means that, for all countries combined, the rate of GDP growth remains higher than the average interest rate paid on public debt (or the effective interest rate).

By 2030, the effective rate will have risen and caught up with GDP growth. As a result, in most cases, the debt service will have returned to the level as a share of GDP seen in the early 2000s. In order to stabilise public debt-to-GDP ratios, primary balances will need to have improved. This will even require the generation of primary surpluses, particularly in Italy (which is already achieving this), France and the United Kingdom. This is a crucial shift that governments will need to introduce as early as the 2027 budget; otherwise, they risk postponing the stabilisation of their public debt-to-GDP ratio once again.

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UNITED STATES

6

A SHOCK-RESISTANT EXPANSION

US growth remains resilient despite successive shocks. According to our forecasts, it is expected to reach 2.2% in 2026 and 2.3% in 2027. Its main driver is still investment in artificial intelligence (AI), which has remained entirely unaffected by the energy crisis. The labour market has seen a marked improvement in job creation and a fall in the unemployment rate. Core inflation remains stubbornly high and above the Federal Reserve (Fed)'s target. Against this backdrop, the Fed has begun a hiking cycle in September, which, according to our scenario, would bring the Fed Funds target to 4.50% (upper limit) by Q1 2027. At the same time, long-term rates are under upward pressure.

THE ENERGY SHOCK IS NOT HOLDING BACK GROWTH

Driven by AI-related investment, US growth is holding up despite rising energy inflation. We forecast GDP growth at 2.2% in 2026 and 2.3% in 2027 on an annual average basis. The AI-related investment cycle¹ (+14.8% y/y in H1 2026) is expected to continue, accompanied by potential productivity gains. However, other private-investment segments (including residential property) remain sluggish. In addition, the rising cost of capital could accentuate its 'K-shaped' profile. Household consumption is expected, on the whole, to benefit from the rebound in job creation and to remain above 2% y/y through to the end of 2027. In H1 2026, it held up against resurging inflation due to an average year-on-year increase of 11.5% in tax refunds and a savings rate standing at its lowest level since 2022 (2.8% in Q2).

RECORD CAPITAL-RAISING DRIVEN BY AI

This year, AI-related investments are driving massive capital-raising by companies through loans, bond issues or share placements. This trend is set to continue given the seemingly colossal scale of the funding requirements, even as risk premia in the bond market begin to widen. According to their statements, the five tech giants could invest nearly USD 900 bn this year and over USD 1,000 bn next year—more than double the figure for 2025. Spurred on by regulatory easing, the major US banks have announced that they will mobilise significant resources to support projects considered strategic for the United States (AI, defence, energy and infrastructure). While funding for the AI boom appears unaffected by rising long-term interest rates, these latter are likely to continue to weigh on household demand for mortgages. Since the start of the conflict in the Middle East, 30-year mortgage rates have risen by 78 bp (to 6.76% at the start of September). Conversely, consumer lending remained buoyant in H1 2026 and is supporting household spending.

TWO-SPEED GROWTH IN INDUSTRY

Industrial production rebounded slightly in 2025 (+1.1%), driven by AI and aerospace. We forecast an acceleration to +1.5% in 2026 and +2% in 2027. Investment in AI is bolstering the electronics sector, while the (civil and military) aerospace sector is rebounding as order backlogs are cleared and defence requirements rise. Conversely, sectors exposed to rising tariffs (in particular, the steel, aluminium and automotive sectors) are still on the back burner, contrary to the objective of these measures. This positive momentum in industrial production, while concentrated, is expected to continue, bolstered by the recovery in business sentiment. The ISM Manufacturing Index has been in expansionary territory since early 2026, despite ongoing pressures on prices and supply chains.

¹ This includes: energy and communications; data centres (facilities); IT equipment and peripherals; communication equipment (equipment); software; and research and development (intellectual-property products).

Growth and inflation

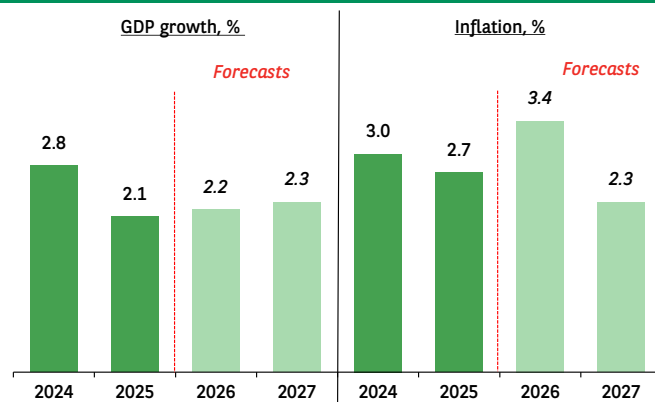


CHART 1

SOURCE: BNP PARIBAS GLOBAL MARKETS

Industrial production is being driven by the AI cycle and the aerospace sector

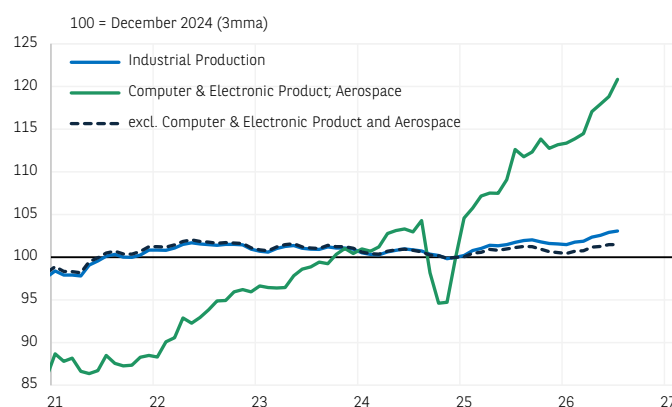


CHART 2

SOURCE: FEDERAL RESERVE, BNP PARIBAS


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LABOUR MARKET: A LOW UNEMPLOYMENT RATE ON A DOWNWARD TREND

Job creation (non-farm payrolls) has rebounded, averaging +80,000 per month since the start of the year, compared with +10,000 in 2025. This growth is no longer limited to the healthcare sector. Excluding healthcare, job creation is up by an average of +38,000 in 2026, compared with -47,000 in 2025. Manufacturing and construction, two sectors driven by AI, are contributing to this rebound. At the same time, the labour force has not grown since January 2025 due to the decline in the foreign-born workforce (down 4.2% cumulatively over the period). Excluding the impact of COVID-19, the labour force participation rate is at its lowest level since the 1970s, standing at around 61.5%. The rebound in labour demand and persistent pressure on the labour supply have brought the unemployment rate down to 4.1% in August 2026 (a 0.3 pp fall since the start of the year). The jobless rate is expected to fall to 3.9% at the end of 2027 (4.2% corresponds to full employment, according to the CBO) thanks to a job creation rate of around 40,000–60,000 per month.

INFLATION: STRUCTURALLY ABOVE TARGET

The rise in oil prices has triggered a rebound in CPI inflation. The contribution from the energy component (+1.2 pp) largely accounts for the rise in inflation since February. A slowdown was seen (from +4.2% to +3.4% y/y) between the May peak and August. This is expected to continue due to base effects on energy prices. We anticipate the trough to be +1.8% y/y in Q2 2027 before a stabilisation at around +2.3% y/y later in the year.

Meanwhile, core inflation is expected to remain above the Fed's 2% target, and above +2.5% y/y in 2027. This highlights the structural nature of inflation, beyond short-term fluctuations linked to energy. Non-housing services are expected to show significant inertia, with inflation hovering at around +3% y/y by the end of 2027. The potential for disinflation also appears limited for housing-related services, as the rise in rents shows no signs of abating. Finally, inflation on non-energy goods is slowing as the effects of tariffs fade. However, the AI cycle is exerting upward pressure through the general rise in the cost of electronic goods.

FED: GREEN LIGHT FOR RATE HIKES

The FOMC has embarked on a cycle of rate increases. The Fed Funds target was raised to 4.0% (+25 bp) at the September meeting, and we anticipate two further rises that would bring the policy rate to 4.5% in January 2027. These three rises (made possible by reassuring developments in employment and economic activity) are intended to reverse the three cuts in 2025 adopted to counter the 'downside risks' to the labour market at that time. As a result, the committee can recalibrate its policy towards 'price stability' and, through its interest rate decisions, reflect the priority given to this objective in its communications. The risks point towards further monetary tightening: in our baseline scenario, core inflation would remain sticky and the fall in unemployment would give the FOMC room for manoeuvre to raise rates further.

PUBLIC FINANCES: UNDERLYING DETERIORATION AND PRESSURE ON LONG-TERM RATES

According to our estimates, the federal deficit is set to widen by 0.7 pp to -6.6% of GDP in 2026 (by 0.4 pp to -3.1% for the primary deficit), weighed down by falling tariff revenue (refunds of tariffs already col-

lected and lower-than-expected receipts). In 2027, the end of this one-off effect is expected to lead to a marginal improvement to -6.3% (to -2.8% for the primary deficit). The growing burden of interest payments (3.5% of GDP in 2026 and 3.6% in 2027, following 3.2% in 2025) and the conflict in Iran (affecting the military budget) are weighing on the budget balance and federal-debt dynamics. Federal debt is still on an upward trend, with no particular change in direction, exceeding 100% of GDP (101.9%, up 3.3 pp, in 2026, and 103.5% in 2027). It is expected to reach 110% by the end of the decade against a backdrop of budget deficits of close to 6% of GDP, assuming fiscal policy remains unchanged.

Furthermore, the mid-term elections (which see the entire House of Representatives and one-third of the Senate up for re-election) could result in a divided Congress or in both chambers changing hands to the Democratic Party. Should the former occur, this would increase the risk of a legislative deadlock, while the presidential veto would limit the Democrats' ability to influence fiscal policy in the latter scenario.

Against this backdrop, pressure on the bond market is likely to continue in the coming months. Treasury issuance is rising, fuelled by increasing spending requirements (in areas such as AI, defence and supply chains). At the same time, [shifts in investor demographics](#) are increasing demand volatility, and issuances by companies in the artificial intelligence sector are intensifying competition for capital. We anticipate a 10-year yield of 4.95% in Q1 2027, before a slight easing brought about by Fed rate rises, which would lend credibility to the price-stability objective. However, according to our forecast, 10-year yield is expected to remain close to a 20-year high, at 4.80% in Q4 2027.

THE US RELIES ON IMPORTS FOR ITS GROWTH

The US trade deficit has recently started to rise again. According to our forecasts, it is expected to account for the same proportion of GDP in 2026 as it did in 2024 (4.4%). This trend is driven by imports of AI-related capital goods, which are set to rise from 1.2% to 2.1% of GDP between 2022 and 2026. Investment in AI is, in fact, import-intensive (*Chart 2*), which dampens its positive impact on growth and highlights the US's dependence on foreign supplies in a cycle that it is nevertheless spearheading.

The additional tariffs have failed to reverse the trend in the trade deficit. Furthermore, the IEEPA tariffs struck down by the Supreme Court were replaced, in July 2026, by 'Section 301' tariffs (forced labour) ranging from 10% to 12.5%. These tariffs target 60 countries and have been introduced on top of existing sector-specific tariffs (steel, aluminium and automotive). Following these adjustments, the statutory rate (measured against the 2024 import structure) remained slightly above 10%. The main risks relate to potential new sector-specific tariffs and the renegotiation of the USMCA.

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EUROZONE

8

GROWTH ON TRACK DESPITE THE TURBULENCE

Growth was stronger than expected in Q2 and is set to strengthen further in the coming quarters. According to our forecasts, it will reach 1.5% in 2027 after 1.1% in 2026. This growth is expected to be driven by investment and its knock-on effect on exports. On an annual average basis, inflation is expected to stand at 3% in 2026 and 2.8% in 2027, peaking at the end of 2026. The ECB is expected to continue its monetary tightening. At this stage, a single further rate rise, aimed at keeping inflation expectations anchored, is expected in December. The impact of rising interest rates (key policy rates and market rates) on public finances and private sector borrowing conditions will be worth monitoring.

GROWTH: BEYOND THE SHOCKS, A RESILIENT MOMENTUM

Growth in the Eurozone remained robust in the first half of 2026, at 0.25% q/q in Q1 and 0.33% q/q in Q2, excluding Ireland (where economic activity is volatile). It was driven by Germany, where signs of a recovery are becoming clearer (see [Germany](#)). Our baseline scenario forecasts growth of 1.1% in 2026, followed by 1.5% in 2027 on an annual average basis. This growth is expected to be driven by the strengthening of trends already underway in public and private investment (particularly in defence and AI) and in exports (trade in services and intra-zone trade in goods). Household consumption is likely to be resilient too. According to our forecasts, job creation would continue to underpin household incomes, thereby cushioning the impact of inflation.

A NEW LEASE OF LIFE FOR INDUSTRY

The Eurozone is undergoing one of the most profound industrial transformations in its history. This is giving rise to divergences between key sectors but, above all, to new drivers of growth whose effects are becoming increasingly apparent (see [our analysis](#)). Indeed, the signs of an economic recovery are growing stronger. Business sentiment indicators show a marked improvement in the economic outlook across most sectors (*Chart 2*), driven primarily by electronics (AI, digitalisation), the automotive sector and aerospace. European industry is thus benefiting from strong demand for capital goods; a structural trend that will continue to be fuelled by ongoing investment cycles in AI, defence and electrification. The introduction of minimum European content quotas in the draft law on the industrial accelerator, together with the Commission's intention to tighten the criteria for access to European public procurement markets, will provide additional support for European industry in the longer term.

FOREIGN TRADE: A REPOSITIONING THAT IS PAYING OFF

Following a decline in 2026, linked to rising energy import costs, the trade surplus is expected to rise to around 3.0% of GDP in 2027 (of which 2% of GDP for goods and 1% for services). Growth in European exports has slowed compared with its pre-Covid trend and is being hampered by the decline in Chinese and US markets. However, Eurozone exports in volume rose significantly in Q2 (+3.4% q/q).

More importantly, since Liberation Day (April 2025), Eurozone countries have found significant sources of growth amongst other European partners, which has enabled them to cushion the decline in exports to certain third markets. This is evident in exports to the rest of the EU, EFTA countries (Switzerland in particular) and, to a lesser extent, the United Kingdom, Ukraine and the Balkans (*Chart 3*). The momentum of intra-European trade therefore remains very strong. It is expected to strengthen further with the anticipated investments in defence, AI and electrification.

Growth and inflation

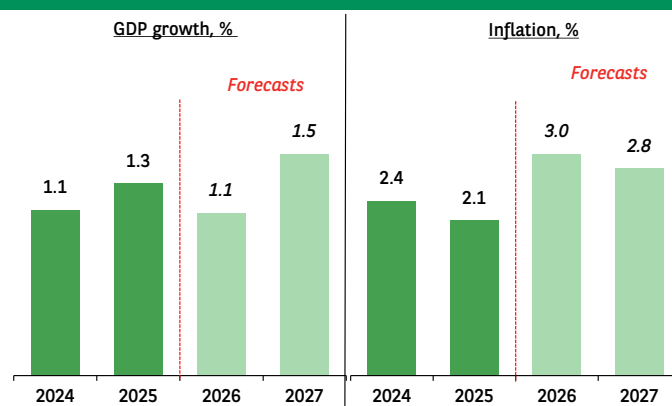


CHART 1

SOURCE: BNP PARIBAS GLOBAL MARKETS

A broader recovery in industrial activity is on the horizon

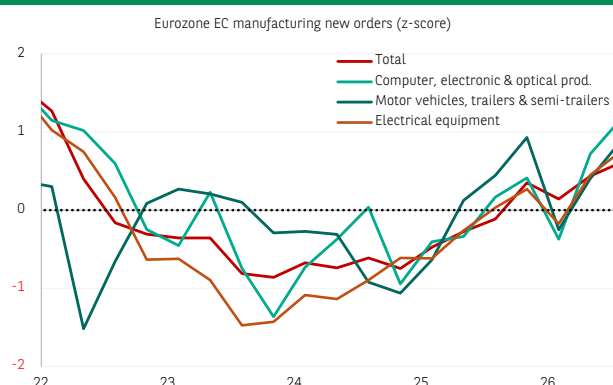


CHART 2

SOURCE: EUROPEAN COMMISSION, BNP PARIBAS

FINANCING: FINANCIAL CONDITIONS ARE EXPECTED TO REMAIN TIGHT

Financial conditions in the Eurozone remained tight in Q2 2026, according to indices calculated by the ECB (including the BIG [Broad Intermediation Gauge]). They are expected to tighten more significantly in the second half of the year: i/ the rise in long-term bond yields, which has accelerated since the outbreak of the conflict in Iran, is expected to continue; and ii/ the ECB will continue its monetary tightening (+25 bps



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Exports to Europe help offset weaknesses in other markets

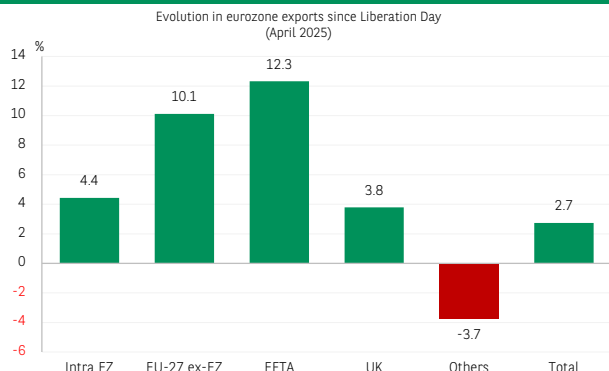


CHART 3

SOURCE: EUROSTAT, BNP PARIBAS

in Q3, then in Q4). For the time being, the debt burden is still weighing only moderately on public finances due to the long average maturity of countries' debt (8.2 years on average in the Eurozone in July), but this burden will increase by 2030.

On the corporate front, the rise in interest rates has remained contained (+2 bps since January 2026, reaching 3.9% in July), which has contributed to the strong growth in new investment loans (cumulated over one year, +9.1% y/y in July compared with 15.3% y/y in September 2025). By contrast, cumulative net debt securities issues over one year remained stable in July, whilst cumulative net issues of listed shares over one year halved month on month.

Rising interest rates will continue to hamper new variable-rate home loans to households (around 65% of new lending) more significantly than fixed-rate loans, for which rates stood in July at 3.69% (+4 bps m/m) and 3.36% (+2 bps m/m) respectively. New home loans, which are stable in 2026 on a cumulative over one year basis, are therefore unlikely to see any improvement. A fall in real-estate transactions could weigh on new consumer credit through a reduction in expenditure on home furnishings and renovations, whereas consumer credit has been fairly buoyant so far (year-to-date, +5.2% y/y in July compared with +1.4% y/y in January).

LABOUR MARKET: RESILIENCE YET TO BE CONFIRMED

Employment in the Eurozone rose again by an average of 0.1% q/q in the first half of 2026, driven by Spain and Portugal. Given the growth outlook in these two countries, this momentum is likely to continue, whilst business sentiment surveys in Germany suggest that employment is beginning to stabilise. Nevertheless, employment levels are plateauing (France, the Netherlands) or even falling in other countries (Austria, Finland), which is likely to slow the decline in the Eurozone unemployment rate, meaning it is expected to remain close to current levels in 2027. Furthermore, second-round effects of the rise in inflation on wages cannot be ruled out: the ECB's wage tracker suggests wage growth of close to 3% by summer 2027 (2.9% y/y in June 2027, compared with 2.6% in September).

INFLATION: A PEAK EXPECTED IN LATE 2026

Changes in wage dynamics will be a key factor in the inflation outlook for 2027, whilst energy price rises are picking up again, driven by the conflict in the Middle East. This rise is even sharper than in the spring for gas (linked to restocking ahead of winter) and is likely

to feed through to electricity prices in several countries. We therefore anticipate inflation peaking at 3.7% y/y in Q4 2026, before easing as the energy component falls. On an annual average, headline inflation is expected to stand at 3% in 2026 and then at 2.8% in 2027.

At this stage, the pass-through of rising energy prices to other components of the consumer price index, particularly services, remains limited. The alternative core indicators monitored by the ECB, including the PCCI (Persistent and Common Component of Inflation, 2.1% in July), remain close to the 2% target. Core inflation, however, is expected to peak two months later than headline inflation (3% in March 2027).

Inflationary risks are nevertheless tilted to the upside. These are linked to food prices, which are expected to be affected by the energy shock and weather conditions (summer drought, El Niño); they could also stem from a delayed impact of energy price rises on underlying inflation. The rise in prices of energy-dependent inputs (notably chemicals and plastics) and those linked to the AI sector is expected to be sustained. Growth, which we expect to remain robust over the coming quarters, will also fuel underlying inflationary pressures.

MONETARY POLICY: TIGHTENING WITHOUT SLOWING (GROWTH)

Following two 25-basis-point rises (in June and September), we expect a third in December, which would bring the deposit facility rate to 2.75%. It would then be in slightly restrictive territory (we estimate the upper bound of the neutral rate to be 2.5%). This rise would be aimed primarily at anchoring inflation expectations and, consequently, at curbing the pass-through effects of inflation. Monetary tightening would therefore remain limited. Indeed, the overshoot of the inflation target would be temporary, and the operational framework adopted by the ECB in June 2025 allows it to tolerate this, provided it remains brief. However, it cannot be ruled out that the ECB might take further action if the decline in inflation proves slower than expected.

PUBLIC FINANCES ARE CONTINGENT ON RISING INTEREST RATES

The fiscal impulse in the Eurozone is expected to be clearly positive in 2026 due to the rise in defence and infrastructure spending in Germany. This will contribute to a widening of the country's primary deficit (from +0.9 pp of GDP to 2.8%, according to our forecasts). The improvement in public finances is expected to stall in both France and Italy, at least in 2026, due to the impact of inflation on the debt burden *via* index-linked bonds. This trend is expected to reverse in 2027 with less expansionary fiscal policies. Nevertheless, the increase in the debt service burden would fuel a further rise in the public deficit, which would thus reach around 3.3% and 3.5% of GDP in 2026 and 2027 respectively (compared with 2.9% in 2025). Against this backdrop, the Eurozone's public debt-to-GDP ratio is projected to exceed 90% of GDP in 2026 and reach 93% of GDP in 2027, according to our forecasts.

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GERMANY

10

AN EXPORT-DRIVEN RECOVERY

Growth, which began in the fourth quarter of 2025, gained momentum in the first half of 2026. This momentum should continue, with expected growth of 1.1% in 2026 and 1.3% in 2027. In the short term, the main driver will still be exports, particularly to Europe, which will contribute to restructuring industry. The impact of investment plans is expected to strengthen in 2027, while domestic demand is likely to remain constrained by inflation (2.7% in 2026 and 2.6% in 2027), which will weigh on purchasing power. Fiscal stimulus and structural reforms are expected to continue to support growth. However, the rise in the deficit and debt levels means that the increase in long-term interest rates observed so far is mostly structural.

A RETURN TO GROWTH DRIVEN BY EXTERNAL TRADE

The first half of 2026 confirms the rebound in growth (0.4% and then 0.3% q/q in Q1 and Q2). This growth is driven by foreign trade (contributions from net exports of +0.8 pp and +0.2 pp, respectively, with +0.9 pp on average coming from exports and -0.4 pp from imports), following two years of contracting exports, particularly those to Europe (see below). The increase in public expenditure (see our analysis) reflects the implementation of investment plans, with the multiplier effect on growth of these plans expected to increase.

In the second half of the year, growth is expected to remain robust, pushing the annual average to 1.1% in 2026 (following 0.3% in 2025). Exports are set to remain the main driver, thanks to continued strong European demand, which is compensating for domestic demand that remains sluggish. Growth of private consumption will, in fact, remain subdued by energy inflation. Business investment is expected to be driven by dynamic sectors (defence, technology equipment and aerospace), which would limit the impact of rising interest rates.

In 2027, growth (1.3%) would be based more heavily on domestic demand, with greater spillover effects from investment plans and a likely recovery in household consumption (following a peak in inflation in Q1 2027). At the same time, external demand is expected to remain strong, but its contribution to growth would be lower than in 2026. This is because the stronger growth in domestic demand would stimulate imports to a greater extent.

INDUSTRY IS BENEFITING FROM AI INVESTMENT AND INTRA-EUROPEAN MOMENTUM

The business climate in industry improved significantly at the start of the second half of the year (the manufacturing PMI has risen by 4 points since May, reaching a four-year high in August). New export orders have even reached their highest level since early 2022. These positive signs put into perspective the risks associated with the summer's climate events (heatwaves and the historic drought on the Rhine), which disrupted industrial activity and river transport.

Since early 2025, output in some sectors has rebounded, particularly in the electronics sector (+6.4%). Manufacturers of electrical equipment, as well as IT and electronics firms, are benefiting in particular from the wave of investment in data centres and defence. If this momentum continues, it could offset some of the losses recorded in the automotive and chemicals sectors, which have both seen the sharpest falls in output since late 2017 (-12.8% and -19.4%, respectively).

The sustained increase in military spending on medical technologies and robotics across Europe is driving a restructuring of the intermediate-goods sector. Companies exposed to struggling sectors are gradually turning towards these new markets. However, this reorientation is not fully offsetting the loss of historical markets.

Growth and inflation

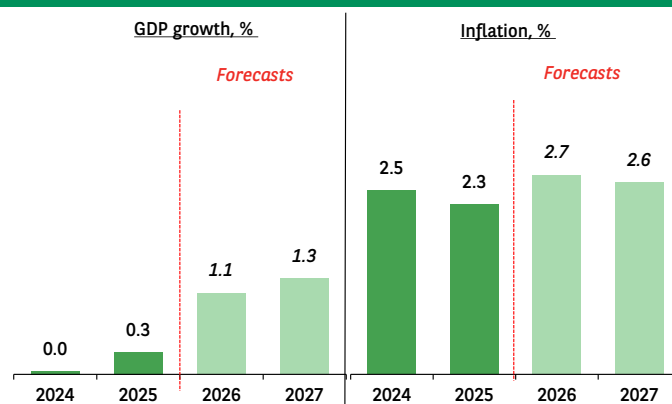


CHART 1

SOURCE: BNP PARIBAS GLOBAL MARKETS

The rebound in German industry is also being fuelled by European demand. While exports to China (-12.7% YTD in July) and the United States (-1.5%) have certainly continued to fall, exports to a number of European Union countries have risen sharply, particularly in Southern and Central Europe. This shift is benefiting machinery and transport equipment (47.6% of goods exports, up 20.5% since January 2025) in particular. We expect this momentum to continue in 2027, creating a virtuous cycle that reinforces European growth.

A STAGNANT LABOUR MARKET

The situation in the German labour market has stabilised over the past several quarters, but it is not yet showing signs of improvement. The unemployment rate is shifting relatively little (4% in November; +0.2 pp y/y) and remains below the Eurozone average (6.4%). Falling employment in the manufacturing sector (-0.6% since Q4 2019) is offset by an increase in the services sector (+0.9%). Nevertheless, the latest business climate surveys suggest that the situation may stabilise. The gradual retraining of the workforce in struggling sectors is helping to meet some of the needs arising from new investment.

Generally speaking, in the longer term, pension reform should support the labour supply. As a matter of fact, it will help to increase the number of workers gradually, notably through the phasing out of early retirement at 63 and the indexing of the retirement age to life expectancy from 2032 onwards.


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Although the unemployment rate is set to remain low, wage growth would remain limited, particularly in 2026, as negotiated wages will offset inflation to a lesser extent than they will in 2027. The planned increases in the minimum wage (+8% in 2026 and +5% in 2027, to EUR 14.6 per hour), significant as they are, will have little knock-on effect on the rest of the wage scale.

PURCHASING POWER CONTINUES TO BE SQUEEZED BY HIGH INFLATION

Wage purchasing power is expected to fall further in 2026, having already lost 4 pp since 2022, before stabilising in 2027. The reduction in income tax (by EUR 10 billion, or 0.2% of GDP), which will come into force next January, is also expected to support the disposable income of low- and middle-income households.

Inflation has been rising again since the start of the summer and is expected to remain above 2% throughout our forecast horizon. It has accelerated since June (+0.5 pp to +2.9% y/y in August) driven by a further rise in energy prices (+6.7 pp to +9.4% y/y), while core inflation remains stable at +2.6%. From spring 2027 onwards, the expected easing in energy prices (particularly gas prices) should bring down inflation. However, this decline will be limited by the inflationary effects of the wider roll-out of investment plans, as well as by the expected rise in food prices.

This inflation, which has been structurally higher since the onset of the 2022 energy shock, will weigh on household consumption. Furthermore, German households' propensity to save remains high by international standards (with a net balance 15 points higher on average over the last ten years, according to the European Commission), which is also weighing on their consumption.

FISCAL STIMULUS CONTINUES

After recording a public deficit of -3% of GDP in 2025, we anticipate a further deterioration in the public balance to -4% in 2026, then -4.2% in 2027. The primary deficit is projected to reach -2.8% of GDP in 2026 (after -1.9% in 2025) before narrowing slightly to -2.7% in 2027. At the same time, the interest burden is expected to rise gradually from 1.1% of GDP in 2025 to 1.5% in 2027. This combination will result in a rapid rise in the debt-to-GDP ratio, from 62.6% of GDP in 2025 to 66.1% in 2026 and then 69.7% in 2027, before approaching 85% by the end of the decade.

The yield on the 10-year Bund rose above 3.5% on 14 September, its highest level since 2007. In addition to the increase in issues linked to extra-budgetary funds, inflationary pressures are also contributing to this rise. A gradual easing of inflation next year would make a moderate easing of sovereign yields possible in 2027. However, yields would remain high, at 3.2% in Q4 2027, suggesting that the bulk of the rise is structural.

At the same time, the government is continuing to implement its programme of structural reforms, including measures to support business investment, health-insurance reform, pension reform and an overhaul of the tax system. A number of measures have come into force, particularly accelerated depreciation for business investment until 2027, which will be followed by a reduction in corporation tax from 2028. Administrative simplification is also set to lead to an overhaul of the tax system from January 2027¹. The health-insurance reform has been passed, while the pension reform is still under discussion, with expectations that it will be adopted by the end of the year.

¹ The main measure will be a reduction of EUR 10 billion per year in income tax for individuals on low incomes, funded in part by an increase in taxes on high earners. The bill will be submitted to Parliament in the autumn, before being implemented from 2027.

Industry is restructuring and benefiting from investment in AI and defence

Industrial production, janv. 2025=0 (weight in manufacturing production)

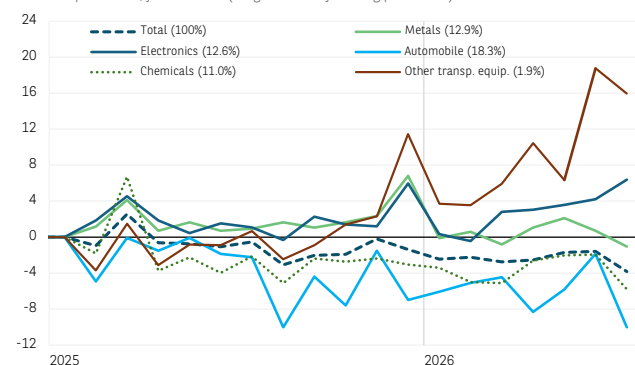


CHART 2

SOURCE: DESTATIS, MACROBOND, BNP PARIBAS

The intra-European reorientation of German exports is underway

Exports by destination (sa ; July 2026), %ch y/y YTD



CHART 3

SOURCE: BUNDESBANK, MACROBOND, BNP PARIBAS

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FRANCE

12

GROWTH IS BENDING, BUT NOT BREAKING

French economic growth will underperform in 2026, partly due to a number of exceptional setbacks. In 2027, it is expected to rebound to 1% (compared with 0.5% in 2026), supported by rising external demand (particularly from Europe). So far, businesses and households appear to be weathering the rise in inflation relatively well, although it is expected to continue (we are forecasting 2.3% inflation in 2027, following 2.4% in 2026). Fiscal consolidation remains challenging, complicated by the weak growth seen in 2026, and is expected to be implemented gradually. As a result, public debt is expected to rise, with a moderate upside risk due to the rise in sovereign-bond yields.

GROWTH: HEADING TOWARDS A RECOVERY?

France narrowly avoided a recession in H1 2026 due to exceptional factors: a decline in public investment (which is typical in the run-up to municipal elections), a drop in agricultural production, and energy inflation.

The slowdown in public spending (investment and consumption) is significant. Its contribution to growth has been declining since 2025 (0.3 pp, down from 0.6 pp in 2024), a trend that is expected to continue in 2026 and 2027 (0.2 pp). The decrease is particularly pronounced for public investment (+5.2% in 2024, +2.7% in 2025 and forecast of -1.6% in 2026), for which the outlook remains negative.

Business investment is expected to recover after a decline in H1. Order books are filling up again, particularly for exports (see *below*), and investment intentions are rebounding, according to the INSEE. After being affected during the early months of the conflict in Iran, in August 2026, the business climate returned to a level close to its pre-dissolution level (as it had already done between December 2025 and February 2026). Unlike in 2022, the energy-price shock has, for the time being, had little impact on electricity prices. As a result, profit margins remained stable in Q2 2026, standing at 31.5% (they had fallen by 1 pp during the same period in 2022).

Households have also weathered the inflationary shock better than had been feared, with consumption rebounding in Q2. Consumption growth is expected to remain fairly stable between 2025 and 2027 (+0.5% annually), thanks in particular to the favourable momentum in electric-car sales. Conversely, household investment (which declined in H1) is expected to continue to decline, adversely affected by the moderate rise in interest rates.

MANUFACTURING OUTPUT LIMITED BY SUPPLY-SIDE CONSTRAINTS

Manufacturing output has rebounded since mid-2025, driven by the aeronautics sector (where output rose 15.5% over the following 12 months). This rebound has been more moderate in other sectors, but is significant in electrical (+2.5%) and electronic (+4.2%) capital goods, as well as in several inputs (metals: +1.8%).

This rebound is driven by exports, particularly exports to Europe. It is fuelled by investment plans in defence (see *our analysis*), infrastructure in Germany and demand linked to electrification (AI, energy and electric vehicles).

However, this rebound in industrial output has lost momentum in recent months (-1.2% in July, 3m/3m), despite improving order books. Supply-side constraints increased in H1, while, at the same time, business investment contracted (back down to its Q2 2024 level in Q2 2026).

Growth and inflation

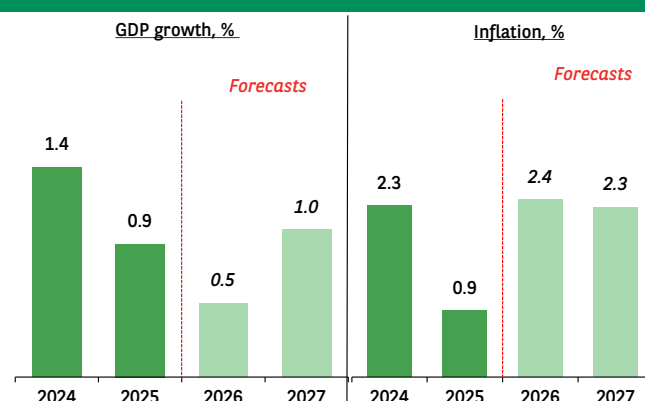


CHART 1

SOURCE: BNP PARIBAS GLOBAL MARKETS

The business climate has absorbed the rise in inflation well

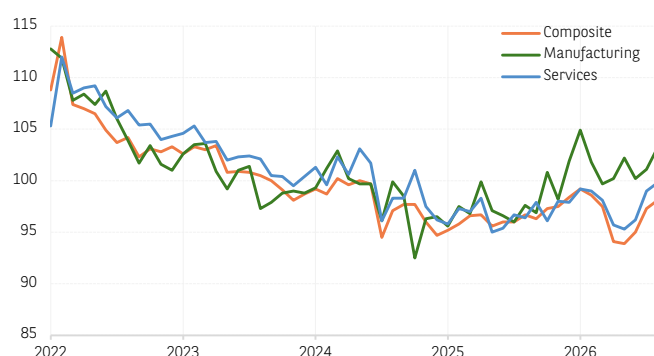


CHART 2

SOURCE: INSEE, BNP PARIBAS

DEMAND FOR FINANCING FROM BUSINESSES REMAINS STRONG, WHILE OUTSTANDING LOANS TO HOUSEHOLDS ARE STABLE

In June, investment loans to companies (+4.5% y/y) were driven by housing loans (+5.1% y/y), while loans for equipment were less buoyant (+4.1% y/y). Market-based financing was also robust year on year (+4.8%) but declined month on month. With a new phase of rising interest rates appearing to have begun, growth in financing to NFCs could



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slow. Political uncertainty is also likely to weigh on the outlook, but investment is expected to continue to be bolstered by spending on technology, the energy transition and defence.

Household investment could be held back by the rising cost of new housing loans, which is expected to increase more significantly in the second half of 2026, following an initial rise observed in June–July from 3.1% to 3.17%. It should be noted that the average interest rate remained stable at 3.1% until May, despite the rise in short- and long-term market rates. Indeed, the increase in these rates stems from the rise in the sovereign-bond yield, which has no direct influence on the cost of bank funding (within certain limits). Our scenario of continued rate rises suggests that the rate on new housing loans is likely to increase. New lending was at a low level in July (EUR 11 bn, compared with around EUR 12.5 bn between March 2025 and March 2026). Outstanding amounts would continue to rise only slightly (less than 0.3% y/y in June 2026) due to persistently high repayment flows, linked to the high volume of new lending during the period of low interest rates. The deterioration in households' property purchasing capacity would weigh on transaction volumes and, ultimately, on house prices.

THE DETERIORATION IN THE LABOUR MARKET REMAINS MODERATE

The rising unemployment rate over the past two years (+0.9 pp to 8.3% in Q2 2026) reflects the gradual deterioration of the labor market. This is due to sluggish growth in private-sector payroll employment (101,000 net job losses over the period), which was not offset by the creation of 20,000 public-sector jobs. This slowdown stems primarily from the construction sector (nearly 50,000 net job losses). Despite a rebound in order books, the manufacturing sector lost jobs (-26,000), as sectors with strong order books struggled to recruit. At the same time, self-employment (204,000 net new jobs over the past two years) continued to drive total employment (103,000 net new jobs). The coming months are expected to follow the same trends. The unemployment rate is projected to reach 8.5% by the end of 2026 and peak at 8.7% in mid-2027.

A MODERATE INCREASE IN INFLATION

France entered the conflict in Iran with low harmonised inflation: 1.1% y/y in February 2026, 0.8 pp below the Eurozone average—a gap that has persisted since then. While French inflation reached 2.7% in August, its core component remains below 2%, whereas it is above in the Eurozone.

Nevertheless, household purchasing power is expected to contract by 0.5% in 2026, before stabilising in 2027. Wage growth has not accelerated so far (excluding the minimum wage, which rose +2.4% in June) and fell below inflation in Q2 2026 for the first time in two years. In addition, unlike in 2022, government aid has done little to offset this inflation, due to a milder shock and more limited fiscal leeway than at that time.

According to our forecasts, inflation is expected to peak between late 2026 and early 2027, at 3.4% y/y, before easing as energy inflation moderates. It is expected to remain below the Eurozone average, particularly if electricity production and prices continue to be only slightly dependent on natural gas (as has been the case so far in 2026, unlike in 2022).

TIME IS PLAYING AGAINST FRANCE'S PUBLIC FINANCE

France still enjoys an effective interest rate (the average rate paid on the total public debt) of just over 2%. With an average maturity of nearly 8.5 years, a portion of the debt continues to carry a rate close to zero. As a result, the debt burden is projected to account for "only" 2.5% of

The rise in interest payments will put pressure on the public deficit

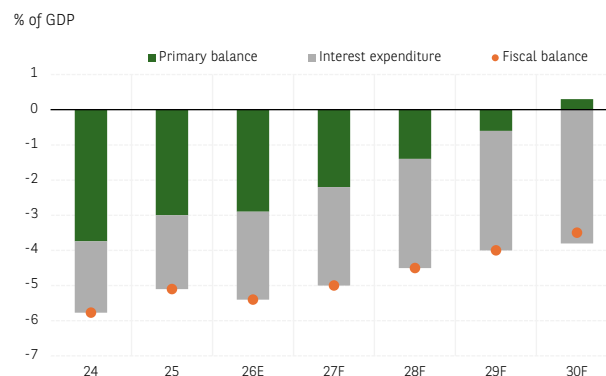


CHART 3

SOURCE: MACROBOND, BNP PARIBAS FORECASTS

GDP in 2026 (2.1% in 2025). However, with 10-year market rates currently above 4%, an increase in the debt servicing is only a matter of time (we project it to reach 4% of GDP in 2030).

This increase, combined with additional defence spending, will total nearly 0.5 pp per year between now and the end of the decade, which will complicate efforts to reduce the fiscal deficit. After a decline in 2025 (from 5.8% to 5.1% of GDP), 2026 is expected, according to our forecasts, to see a moderate deterioration in the fiscal deficit (to 5.4% of GDP), due to the additional increase in the debt servicing linked to inflation (because of inflation-indexed bonds) and lower-than-expected growth.

In its draft budget for 2027, the government plans to reduce the deficit to 5% of GDP, with the adjustment spread more evenly than in previous years (for the first time, retirees would be asked to contribute EUR 6 billion). However, with no majority in the National Assembly, fiscal consolidation is expected to remain moderate. The public debt-to-GDP ratio should reach 121% of GDP in 2027 (after 115.7% in 2025 and a forecasted 119% in 2026).

The next government formed following the 2027 elections could amend this budget. The impact on the public deficit would, however, be moderated by the implementation date for these measures (not before July). Beyond that, most presidential candidates are promising a return to a deficit of 3% of GDP by 2032 (which we had projected for 2030). Under this scenario, the public debt-to-GDP ratio would then reach nearly 124%.

With the current rise in long-term rates, there is a risk that debt service will increase further, just like the public debt ratio. Standing at 4.5% on 14 September, the 10-year yield is 50 bp higher than in our end-Q3 scenario. If this 50-bp increase was to be permanent, the additional debt servicing would be 0.05 pp in 2027 and 0.25 pp in 2030, for a total of 4.25% of GDP. The public debt-to-GDP ratio would rise by 0.8 pp (and by 1 pp in 2032). In order to avoid this increase in the deficit and debt, additional efforts would be required on the primary balance (equivalent to the additional debt service – for example, 0.25 pp in 2030).

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COUNTRY RISK PROFILE: VIETNAM

Christine Peltier – September 2026

- Vietnam has continued to enjoy very strong economic growth, despite external shocks;
- Vietnam has not yet fixed its external liquidity problem, which is a source of vulnerability;
- Medium-term prospects are favourable;
- Risk profile: strong economic growth and low public and foreign debt vs. low external liquidity and a weak banking sector.

Vietnam – Key indicators

		2022	2023	2024	2025	2026f	2027f
External solvency	External debt / GDP (%)	35.7	32.8	28.9	26.3	24.3	22.3
	External debt service / G & S exports (%)	6.8	7.5	7.7	7.1	6.3	6.0
External liquidity	Forex reserves (USD bn)	86.5	92.2	83.1	85.6	89.2	115.8
	In months of G & S imports	2.8	3.3	2.5	2.2	1.8	2.0
Financial vulnerability	Short-term external debt / forex reserves (%)	44.1	38.1	44.6	44.4	43.7	35.5
Activity	Real GDP growth (%)	8.5	5.1	7.0	8.0	7.3	6.7
Imbalances	Inflation (CPI, average, %)	3.2	3.3	3.6	3.3	4.4	4.6
	Budget balance / GDP (%)	+0.7	-1.7	-1.5	-2.2	-3.6	-2.4
	General government debt / GDP (%)	34.9	34.3	31.2	30.3	30.8	30.2
	Current account balance / GDP (%)	+0.3	+6.0	+6.6	+6.7	+2.9	+4.5

Sources: Ministry of Finance, General Statistics Office of Vietnam, IMF, BNP Paribas

	2025	Real growth rate (average 2021-2025)
GDP (USD billion)	494	+6.2%
GDP / cap (USD)	4 829	+5.2%
Population (million)	102	+1.0%

FC Sovereign Ratings

S&P	Moody's	Fitch
BB+	Ba2	BB+

VIETNAM HAS CONTINUED TO ENJOY VERY STRONG ECONOMIC GROWTH, DESPITE EXTERNAL SHOCKS

Vietnam's economic success story has continued, despite last year's US tariff shock and this year's energy shock

- Economic growth accelerated to 8% in 2025 and 8.2% y/y in H1 2026, driven by exports, investment and private consumption. It is projected to slow in the short term, reaching a still strong level of 7.3% in 2026. External accounts strengthened in 2025, but they have deteriorated in recent months. Public and external debt ratios remain moderate.
- Vietnam is highly exposed to the global energy shock, but the consequences have been less severe than expected so far. Economic activity has continued to grow strongly, notably because the export-oriented manufacturing sector has been boosted by global demand for AI goods. Fiscal and current account balances can absorb a deterioration. Inflation has increased while currency depreciation pressures have remained manageable. Yet, as the negative impact of high energy prices is expected to persist, Vietnam could face more severe external liquidity tensions going forward.

Vietnam's export base has strengthened further over the past year, notwithstanding the rising US tariffs, notably because Vietnam has been a key beneficiary of the surging global demand for AI-related goods

- Export growth strengthened in 2025 (+17% in value), driven by electronic goods (+48%) and sales to the United States (+28%). Vietnam was one of the main targets of President Trump's tariff war in early 2025, but the tariff shock was much smaller than initially feared, and exports were boosted by surging AI-related demand. Vietnam increased its global market share (1.9% of world exports in 2025 vs. 1.7% in 2024), supported by gains in the US market (5.7% of US imports vs. 4.2% in 2024) and the semiconductor sector (Vietnam is estimated to account for 2.9% of world exports of semiconductors vs. 1.6% in 2024).
- Solid growth dynamics in industrial output and exports have continued in 2026. Exports rose by 21.9% y/y in the first eight months of the year, led by the strong increase in both volume and price of tech goods. However, Vietnam adds little value to the tech goods that it exports as it specialises mostly in assembling and packaging chips to form electronic components. Therefore, its balance of trade of semiconductor goods is negative, as imports and exports of tech goods are increasing in tandem.
- Vietnam's trade surplus with the United States has surged in the past three years and recently became the largest bilateral surplus, ahead of Mexico and China. It reached USD219 bn in the 12-month period to July 2026, up from USD116 bn in 2022 (vs. Mexico's trade surplus with the US: USD213 bn and China's trade surplus with the US: USD165 bn during the same period).
- Meanwhile, Vietnam's imports of Chinese goods have increased rapidly (+36.9% y/y in the first eight months of 2026), causing its trade deficit with China to surge. Indeed, Vietnam has played a growing role in the rerouting of Chinese goods to the US. It has also benefited largely from the reorganisation of production chains in the region and continued to attract significant FDI, mostly from Asian countries. Net FDI inflows have exceeded 4% of GDP in recent years, which has fostered continued expansion of the manufacturing sector and progress up the value chain.
- In the short term, solid export growth dynamics are likely to continue, assuming that there is no correction in the AI cycle and that manufacturing production is not hindered by energy supply difficulties.
- US trade policy remains a source of uncertainty. The US effective tariff rate on Vietnam's goods, which rose from 3.9% at end-2024 to 19.3% in August 2025, has fallen back in 2026 (as the US Supreme Court cancelled 'reciprocal' tariffs); it is now close to 10%. This is higher than some South Asian neighbours, but not high enough to undermine the competitiveness of Vietnamese goods substantially. However, Vietnam is still exposed to the risk of new US tariffs, given its connector role between China and the United States and its huge trade surplus with the United States.

Vietnam is a net energy importer highly exposed to the consequences of the conflict in the Middle East. So far, the impact of hydrocarbon supply disruptions has been more moderate than expected, but it could worsen in the coming months.

- Vietnam is vulnerable to disruptions in energy trade flows. In 2025, 88% of its total crude oil imports came from Kuwait and 49% of its gas imports were from the Gulf region. However, a few factors have attenuated the shock resulting from the Iran war, as Vietnam has reacted swiftly, finding alternative suppliers, introducing measures to contain demand and using its (low) stocks. The country produces 70% of its needs for refined products and imports the remainder from Asian countries (though the region's production is dependent on imports from the Gulf countries). More positively, oil and gas account for only 35% of Vietnam's energy mix (coal: 54% and renewables: 11%), and the country can partially switch to coal for electricity generation.
- The potential pass-through of rising global energy prices to domestic inflation is high. Yet, the government has some fiscal policy leeway (given its moderate deficit and debt ratios) and has introduced small measures to contain inflation (such as the use of the price stabilisation fund and fuel-tax suspension until the end of June). CPI inflation rose to 4.4% y/y in the first eight months of 2026, up from 3.3% in 2025. It is projected to average 4.4% in 2026 – which is still within the target set by the central bank (SBV) for this year, but also the highest rate since 2013. This will dampen consumers' purchasing power. The SBV is projected to keep policy rates stable in the short term, unless inflation accelerates more than expected or depreciation pressures on the dong intensify too much.

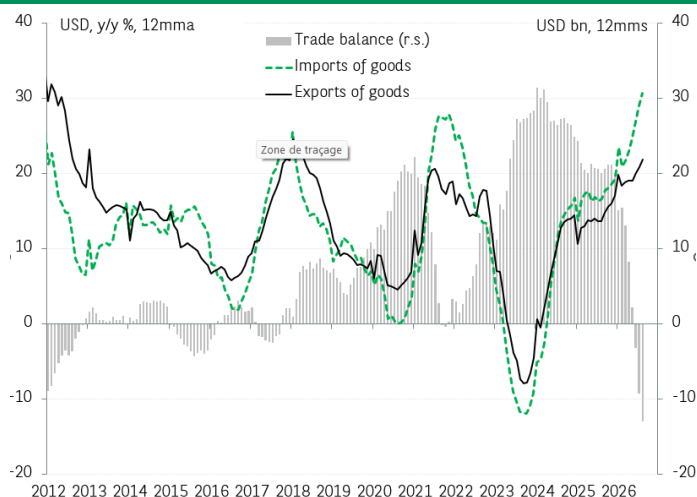
VIETNAM HAS NOT YET FIXED ITS EXTERNAL LIQUIDITY PROBLEM, WHICH IS A SOURCE OF VULNERABILITY

- Vietnam's trade balance has deteriorated steadily in 2026. It turned into a deficit amounting to USD19 bn in the first eight months of 2026 (customs data), compared to a surplus in the previous year (amounting to USD14 bn in the first eight months of 2025). This rapid deterioration has resulted notably from the rising import prices of both energy and electronic inputs.
- On the one hand, the current account surplus is decreasing, but from a comfortable level. It is projected to narrow to 2.9% of GDP in 2026 from 6.7% in 2025, due to the larger energy trade deficit (which accounted for 3.6% of GDP in 2025), the larger trade deficit in semiconductors/tech goods, and lower export receipts from tourism (about 6% of GDP). Furthermore, net FDI inflows will remain strong, staying close to 4% of GDP in 2026. Therefore, Vietnam is unlikely to need to incur new foreign debt.
- On the other hand, Vietnam's forex reserves are low and do not provide a solid cushion against a deterioration in the balance of payments. Forex reserves amounted to USD88.3 bn at the end of June 2026, which is weak: it is enough to service external debt in the short term but covers less than 3 months of imports of goods and services. In particular, if resident capital outflows increase (residents' confidence in the dong may be eroded by rising inflation and the external energy shock), currency pressure could intensify and the central bank could have difficulties to defend the dong. This risk cannot be ignored, even though the VND has barely depreciated this year (the central reference rate has lost a small 2% against the USD since the beginning of 2026).

MEDIUM-TERM PROSPECTS ARE FAVOURABLE

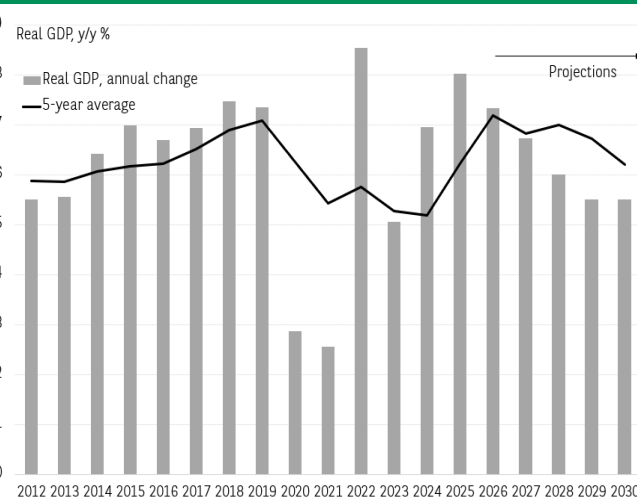
- In the medium term, economic growth is expected to remain strong. It is projected at 5.9% per year on average in 2027–2031, compared to 6.2% in the past decade. This is one of the highest growth rates expected in the ASEAN region.
- This projection is based on a rather optimistic scenario, as it assumes that:
 - i) FDI continues to flow in, and the manufacturing export sector expands further. This means Vietnam's external accounts continue to strengthen in the medium term, thanks to continued current account surpluses, lower resident capital outflows, declining external debt and slowly increasing forex reserves;
 - ii) Demographic trends remain favourable, even though they are projected to weaken gradually in the medium-long term;
 - iii) Structural reforms make steady progress, helping to improve financial-sector supervision, ease infrastructure constraints in the energy and water sectors, boost aggregate productivity (i.e. reducing the gap between high-productivity FDI firms and low-productivity local sectors) and adapt to climate change.

Vietnam's external trade: exports are rising fast, but imports are rising faster



Source: IMF, BNP Paribas

Vietnam's economy will continue to grow strongly in the medium term



Source: National Statistics Office, BNP Paribas

COUNTRY RISK PROFILE: STRONG ECONOMIC GROWTH AND LOW PUBLIC AND FOREIGN DEBT VS. LOW EXTERNAL LIQUIDITY AND A WEAK BANKING SECTOR

- Strong factors support Vietnam's overall country risk and economic prospects:
 - i) a strong manufacturing export base that is moving up the value chain;
 - ii) solid comparative advantages that continue to attract large FDI inflows;
 - iii) current account surpluses and moderate foreign debt;
 - iv) a moderate government debt burden;
 - v) gradually improving policy making;
 - vi) strong medium-term economic growth prospects, assuming that the authorities will continue to implement structural reforms and strengthen productivity in the entire economy.
- On the negative side, major negative factors continue to fuel some macro-financial risks:
 - i) the excessive domestic debt level of the economy (excluding the government) and fragilities in the banking sector – this is a bad combination that fuels high credit risks and financial instability risks;
 - ii) low forex reserves, which have not much strengthened in recent years, despite current account surpluses and notably due to resident capital flight. Forex reserves do not provide good protection against shocks, while Vietnam is vulnerable to external shocks;
 - iii) very high exposure to physical climate risk. Coastal and river-delta regions, where population and economic activity are concentrated, are highly exposed to sea-level rises and flooding.
- Non transfer risk and currency risk: Vietnam has enjoyed very favourable external account dynamics in recent years until 2025, thanks to large FDI inflows, recurrent current-account surpluses and declining foreign debt (which is moderate, at less than 30% of both GDP and exports). This trend has been interrupted in 2026 as current account surpluses are decreasing. Meanwhile, there is a persistent risk of increasing resident capital outflows fuelling some VND depreciation pressure (whereas the potential for foreign capital outflows is limited). As the forex reserve cushion is weak, it would not enable the central bank to defend the dong for a long time if there is severe currency and external liquidity pressure. However, so far this year, the VND/USD spot rate and the reference rate (Vietnam has a crawling band FX regime) have depreciated only slightly, supported by strong exports and FDI inflows.
- Sovereign risk: the government debt burden is moderate and will remain so in the short term, even if the fiscal deficit is projected to deteriorate. The fiscal deficit could exceed 3% of GDP in 2026 due to support measures in response to the energy shock (estimated at less than 1% of GDP in H1 2026), but this will not endanger public-debt dynamics. Government debt should fall again in 2027 thanks to lower deficits and fast GDP growth. Debt was only 30% of GDP in 2025 (vs. 41% in 2019) and interest payments consumed less than 5% of fiscal revenue (vs. 7.2% in 2019). The government covers its funding needs mostly in the local bond market, which is deepening gradually and not highly exposed to foreign investors. Government debt in foreign currency declined to about 25% of total debt in 2025 (vs. 38% in 2019); this is still substantial, but almost all this FC debt is made up of concessional loans from official creditors. On the negative front, high credit risks in the state corporate and bank sectors are very large contingent risks for the sovereign. Moreover, public investment needs related to climate change and infrastructure development will increase in the medium term.
- Systemic credit risk: Domestic credit to the private sector is too large and still rising (141% of GDP in 2025 vs. 108% in 2019) while the banking sector remains poorly capitalised. Credit risks and resource misallocation have long been exacerbated by opacity and supervision flaws, as well as the use of high credit growth targets to support economic growth (+15% in 2026). In 2022–2023, banks faced severe funding stress and asset-quality deterioration resulting from the property and bond market crisis. The situation has recovered gradually since then. In the short term, credit risks may increase amid higher energy costs and if there is a correction in the tech cycle. Some banks, especially small private ones, also remain exposed to VND funding risk (whereas banks do not rely much on foreign-currency financing). Positively, reforms, including stricter capital-adequacy requirements, continue to be introduced gradually in order to improve banks' creditworthiness (the SBV plans to test the removal of credit quotas for the soundest banks from 2026).

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NEXT GENERATION EU: THE PROGRAMME IS COMING TO AN END, BUT ITS EFFECTS ON ECONOMIC ACTIVITY WILL ENDURE

Guillaume Derrien

A pillar of the NextGenerationEU programme, the Recovery and Resilience Facility (RRF) will expire on December 31, 2026. As of the end of August 2026, slightly more than three-quarters of the total budget had been disbursed (EUR 440 billion out of EUR 573 billion). Disbursing the remaining quarter (EUR 133 billion) by the end of the year will require a significant increase compared with the historical pace (EUR 90 billion per year). The goal of channeling these funds toward productive investment appears to have been achieved.

Tangible results for investment in Europe

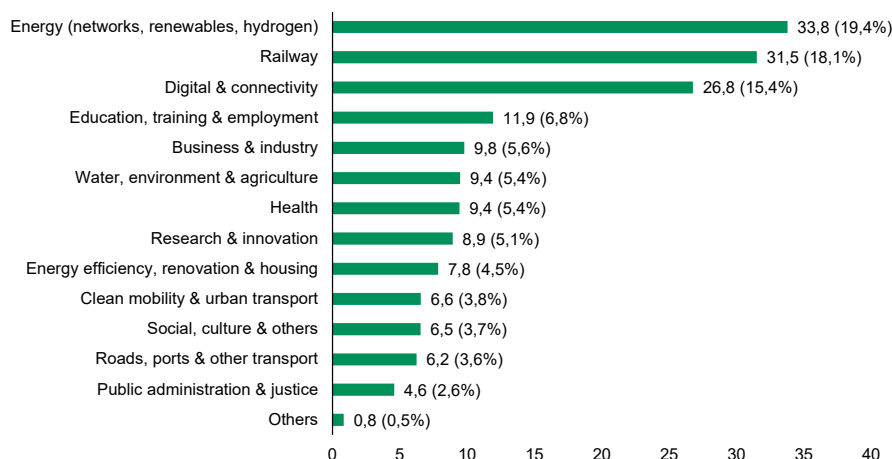
According to Eurostat, public spending co-financed by the RRF totaled EUR 310 billion between 2020 and 2025. Nearly three-quarters (74%) consisted of capital expenditures, including EUR 106 billion in direct public investment and EUR 122 billion in capital transfers to the private sector (such as grants). This spending supported investment by businesses and households.

The list of major programmes funded by the RRF, published by the European Commission¹, shows that, within this scope, nearly two-thirds of the funding went to transportation (primarily rail), energy infrastructure, and digital infrastructure (see Chart 1).

Another notable point: capital expenditures co-financed by the RRF increased significantly, reaching 0.4% of GDP for the European Union as a whole in 2025 (see Chart 2). There are significant disparities among Member States, primarily due to differences in the amounts allocated to them. Croatia (1.9%), Greece (1.2%), Italy (1%), and Spain (0.7%) received significant support, in contrast to France and Germany (0.1%). These figures are consistent with the IMF's estimate that the RRF added approximately 0.3 percentage points (pp) to EU growth in 2025 (more than 1 pp in Greece and Croatia, around 0.8 pp in Italy, and 0.5 pp in Spain)². Furthermore, as the first major joint European borrowing initiative, the RRF made it possible to finance investment without increasing national budget deficits, giving several countries (Spain, Italy, Greece, Portugal) valuable breathing room to consolidate their public finances.

Infrastructure spending accounts for the majority of the funding

Breakdown of RRF funds for the 100 largest projects by country (EUR bn)



Note: The figures in parentheses represent each sector's share of the total funds allocated to the 100 largest projects by country (totaling EUR 174.1 bn, data as of 31 August 2026).

CHART 1

SOURCE: EUROPEAN COMMISSION, [Recovery and Resilience Scorecard](#)

¹ [Recovery and Resilience Scoreboard](#)

² [The EU's Recovery and Resilience Facility: Experience and Lessons for the Next Multiannual Financial Framework, WP/26/114, June 2026](#)

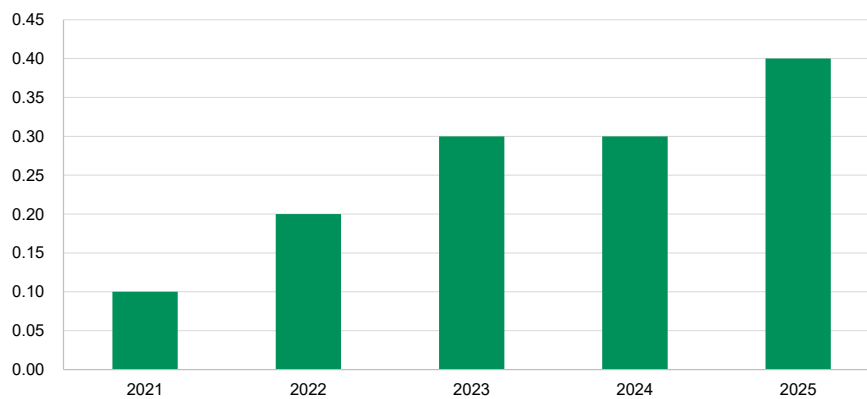
Investment spending related to the FRR has been increasing**Capital expenditures co-financed by the RRF (% of nominal GDP)**

CHART 2

SOURCE: EUROPEAN COMMISSION, [Recovery and Resilience Scorecard](#), BNP PARIBAS**What impact on EU's economic activity can we expect once this programme ends?**

At first glance, effects will be limited. The end of the programme is expected to weigh on both public and private investment. However, the strengthening of economic activity that we anticipate ([see details in our latest Ecoperspectives – Q3 2026](#)) rests primarily on German public investment programmes and structural drivers (investment in AI, defence spending).

The ECB makes the same point in its September macroeconomic projections³. It emphasises that the end of the RRF is expected to weigh on public investment in 2027, while it anticipates an acceleration in business investment. Furthermore, RRF funds are being absorbed on the ground only gradually. Since most disbursements are concentrated toward the end of the programme, the effects of the RRF will extend beyond 2026.

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³ [ECB staff macroeconomic projections for the euro area, September 2026](#)



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SPECIAL EDITION | HOW BAS IS THE RISE IN BOND YIELDS?

TRANSCRIPTION

0:00:10 - Emmanuel Laborde

Everyone, welcome. As we head into autumn 2026, interest rates are reaching levels never seen for many, many years. Why is this happening? Is it sustainable? And what are the implications for the economies of different countries? All these questions will be discussed over the next few minutes with the economists of BNP Paribas. Let us begin with Isabelle Mateos y Lago, chief economist of the group. Hello, Isabelle.

0:00:38 - Isabelle Mateos y Lago

Hello Emmanuel, hello everyone.

0:00:39 - Emmanuel Laborde

Thank you for being with us today. Just to begin, a simple explanation. What rates are we talking about and which countries are affected?

0:00:48 - Isabelle Mateos y Lago

Yes, it is very important to clarify this. So, we are talking about long-term interest rates, rates at 10 years or longer maturities, 30 years, etc. The rates at which sovereign states borrow on the market. And this is primarily something that is happening in advanced countries, so United States, United Kingdom, Japan, and then the Eurozone countries. And indeed, as you said, we are seeing since the beginning of the summer, interest rates reach levels we had not seen for about 20 years. But it is important to keep in mind that up until that point, up until the mid-2000s, the level of interest rates that we're seeing now were really quite common, quite normal, so one shouldn't overdramatize.

0:01:35 - Emmanuel Laborde

Why do we find ourselves in this situation and how did we get to this point?

0:01:41 - Isabelle Mateos y Lago

Yes, so the direct cause is that investors are demanding higher interest rates in order to lend their capital to governments. But why is this? Well, there's essentially three reasons for this, and not all of them are bad, and they're not mutually exclusive either. The top reason to my mind is that there's just greater competition for capital between sovereign states and the corporate sector, who are all facing simultaneously additional investment needs, in defense, in artificial intelligence, in energy transition, in resilience. And so, you just have greater competition for capital and that pushes up the price of capital, which is the interest rate.

Reason number two is because markets have revised upwards their expectations of how high central banks are going to be taking their interest rates.

And this mechanically translates into higher rates at the long end. And then there's a third reason, which doesn't apply necessarily in every case, but which is essentially higher sovereign risk, a kind of a risk premium, in cases where there are concerns arising about the sustainability of these public debts.



0:02:59 - Emmanuel Laborde

What are the implications for global economies?

0:03:03 - Isabelle Mateos y Lago

So that's exactly what we'll be discussing in the next segments. But basically, the two key issues are, one, an adverse impact on public finances. It's higher interest rates making it harder to balance the books in terms of public accounts. And then secondly, these higher rates tend to slow down economic growth. Of course, by how much and how serious it will be, depends on how high interest rates go and how long they stay there. But that's for the next segments.

0:03:38 - Emmanuel Laborde

Yes. Thank you very much, Isabelle. Having said the scene now, let's move on to the first segment with the following question. What makes debt sustainable? And let's see what H       Baudchon has to say.

Hello H       and welcome into this special edition.

0:03:58 - H       Baudchon

Hello Emmanuel, hello everybody.

0:04:01 - Emmanuel Laborde

When economists talk about public debt, they often refer to the sustainability of debt. As an economist, can you explain to us what that means and what is the debt trajectory deemed unsustainable?

0:04:15 - H       Baudchon

To begin with, I will say that a temporary increase in debt can be seen as a normal evolution, not particularly concerning, for instance during an economic crisis or more recently during a health crisis. In such cases, it acts as a buffer. A problem arises when the debt level never comes back down. An unsustainable trajectory can be therefore defined, characterized by a continuous regular rise in the debt level, both in absolute terms and as a proportion of GDP, driven by high and recurring fiscal deficits. And sometimes interest payments can exacerbate the problem.

0:05:00 - Emmanuel Laborde

In very simple terms, you are talking about the snowball effect.

0:05:03 - H       Baudchon

Exactly explaining why consolidation measures are needed in order to prevent such an adverse situation from occurring and in order to prevent, in fact, a sudden loss of confidence from creditors.

0:05:16 - Emmanuel Laborde

Regarding governments, what should serve as a warning sign for them? And at what point could the situation become, let's say, problematic?

0:05:27 - H       Baudchon

Well, simply speaking, when interest rates rise, not so long ago, up until 2022, Eurozone countries were borrowing at very low rates and in some instance, even negative rates. And although debt levels were already at high level at that time, the low rates helped manage debt servicing. Not much fiscal effort was needed to keep the public debt ratios in check.

0:05:55 - Emmanuel Laborde

Of course, we all remember this because it was a very unusual situation, but now things are very different.



0:06:01 - Hélène Baudchon

Yes, indeed, the situation today is clearly more challenging simply because bond yields are significantly higher and they are rising at the time of our discussion. This is for the part the result of the ECB's monetary tightening in 2022-2023 aimed at addressing the inflation shock then. Then long-term interest rates have risen as a consequence and have aligned more closely with GDP growth rate. And in technical terms, this is what we refer to as a narrowing of the "r" - "g" spread.

0:06:41 - Emmanuel Laborde

Why is this spread so important? Why do you, the economists, monitor it this way?

0:06:48 - Hélène Baudchon

Essentially, you have the interest rate "r", which determines the debt burden, while the growth rate "g" determines the trajectory of fiscal revenues. And if "r" is lower than "g", and this has been the case for many years, as you can see on the chart on the screen, it means that interest payments are increasing at a slower pace than the revenue component of the equation.

0:07:14 - Emmanuel Laborde

And this provides some leeway in other budgetary areas, such as education, of course, defense, maybe pensions.

0:07:22 - Hélène Baudchon

Yes, indeed. And this is what we refer to as the primary budget. However, if and when interest rates do go up while the economy isn't growing that much faster, then fiscal leeway diminishes.

0:07:35 - Emmanuel Laborde

Crystal clear. Now, just could you provide a few last words to wrap up the sustainability segment?

0:07:43 - Hélène Baudchon

Well, to conclude, we are entering a period which demands greater fiscal discipline or, as some might say, less indiscipline in order to manage debt trajectories effectively, in particular in the countries which have high debt levels. And for instance, the Italian case is an interesting one because it is well known for its high debt level ratio. But in fact, it also has an advantageous position because it has no primary deficit. In fact, it even benefits from a large primary surplus.

0:08:22 - Emmanuel Laborde

As for the countries... For the other countries... I stop you because this will be a discussion with Guillaume Derrien during the next segment. Thank you very much, Hélène.

0:08:30 - Hélène Baudchon

Thank you, Emmanuel.

0:08:36 - Emmanuel Laborde

Hello, Guillaume. Welcome.

0:08:37 - Guillaume Derrien

Thank you.

0:08:38 - Emmanuel Laborde

Hello, Emmanuel, and hello to everyone. The flexibility of fiscal policy depends heavily on interest rates, which have increased considerably over the past few months. The question is, where do we stand today?

0:08:52 - Guillaume Derrien

So, long-term rates have increased in all advanced economies, reaching levels not seen since 2008 in Europe and in the United States, and even since 1996 in Japan. Fortunately, the effective rate that states pay on their debt is lower than those headline figures suggest, simply because the average maturity of debt is relatively long. Precisely how long are we talking about? So, it's about 10 years in Japan, 13 years in the United Kingdom, and 8.5 years in France. That means that most of the debt was raised before rates started climbing.

For example, in France, the effective rate just recently rose above the 2% mark, which is significantly lower than the 10-year bond yield, which exceeded 4% for new issuances.

That said, in the United States, which has an average maturity of roughly six years, is experiencing a more rapid increase in its effective rate.

0:09:54 - Emmanuel Laborde

And this rate increase is happening in the context of high debt-to-GDP ratios and with modest growth, correct? Yes, that's correct.

0:10:05 - Guillaume Derrien

Debt levels have reached unprecedented heights since the end of World War II. And at the same time, growth is lower, hovering around 2% on average in the United States, 1% in Europe and 0.5% in Japan. What does that mean for debt servicing costs? So, debt servicing cost is already relatively high, but it is expected to grow further as debt issue before the 2022 rate hikes mature and are replaced with new instruments bearing higher interest rates. By 2030, interest costs could rise to levels last seen in 2000, specifically in France, around 4% of GDP.

Are all the countries equally affected by these trends? Actually, no. Some countries are managing to reduce their debt level.

Spain, Italy, even Japan have sufficiently improved their primary balance to achieve this, at least for the time being. And of course, we must speak about Germany. Yes, Germany is implementing investment programs that result in a higher public deficit and debt-to-GDP ratio. But this ratio started from a relatively low base at around above 60% of GDP. That said, in this current context, German bonds have risen. And because German bonds are used as a benchmark for Europe, it raises rates across all Eurozone countries. Is France the only country seeing its public debt go up?

No, it's not, Emmanuel. This is happening in the United Kingdom and in the United States. These economies, like France, are running public deficits that are ever close or exceed 5% of GDP, which is too large for debt ratio to stabilize on its own.

France and the United Kingdom are trying to gradually reduce their public deficit so as not to compromise growth. The United States is not going on that path yet, but market pressure could eventually force them to do so.

0:12:08 - Emmanuel Laborde

Thank you very much for your input, Guillaume. Thank you, Emmanuel. Let's go to the next segment. It's about the impact of rising bond yields on financing and investments in the Eurozone.

0:12:26 - Thomas Humblot

Hello, Thomas. Welcome. Hello. Thank you for having me today.

0:12:30 - Emmanuel Laborde

We've just seen what's behind the rise in Eurozone bond yields. This rise is partly attributed to the sovereign spread. What impact will this have on the economy?

0:12:42 - Thomas Humblot

Actually, this widening of some government bond spreads is obviously not good news, but it tends paradoxically to have less impact than an increase in long-term interest rates that does not include the sovereign risk premium. For example, in France, for a very long time, it has been considered that the 10-year OAT was the relevant benchmark for fixed loans. And at that time, the spread on French government bonds was relatively stable. But since 2024, that spread increased



significantly and that renders the sovereign yield a less relevant benchmark.

And now the most relevant benchmark is the swap rate because it determines the cost of bank funding that backs new loans.

0:13:56 - Emmanuel Laborde

Since the end of 2024, we have seen a rise in long-term 10-year swap rates. What impact does this have on bank lending rates?

0:14:08 - Thomas Humblot

Fixed loans have obviously become more expensive, but to a lesser extent than if they were priced solely based on long-term sovereign rates. And what about existing fixed-rate loans?

There is no impact. An increase in rates for the entire maturity of a loan does not have any effect if it is a fixed-rate loan. Borrowers with outstanding loans are therefore protected. Obviously, new fixed loans are granted at higher rates. And this sharply contrasts with a floating-rates loans.

Because with floating-rates loans, borrowers experience regular rate adjustments throughout the term of the loan. And in terms of bank financing? Strictly in terms of bank financing, an increase in short-term rates has an immediate and widespread restrictive impact on borrowers, while for long-term interest rates, the impact is more gradual, and it comes gradually as the outstanding amount of fixed-rate loans are progressively renewed. And the thing is that since the beginning of the war in Iran, we have seen a combination of the two.

And in practical terms, the rate of new bank loans to non-financial corporations has increased about 25 basis points in the eurozone since the beginning of the year.

0:16:12 - Emmanuel Laborde

Just a few words about companies that borrow directly from the market.

0:16:16 - Thomas Humblot

Well, in that case, the impact is even more straightforward. The rate at which a company borrows from the market is the risk-free rate plus a premium.

0:16:28 - Emmanuel Laborde

Have risk premiums, known as corporate credit spreads, also increased?

0:16:34 - Thomas Humblot

Yes, they have increased temporarily at the beginning of the year but have returned to normal since. For the time being, the widening remains moderate for the highest-rated investment-grade issuers.

However, some significant bond issuance in the euro debt market due to some major US technology companies has increased spreads for longer maturities.

0:17:11 - Emmanuel Laborde

In particular terms, how does this affect the investment decisions of the companies?

0:17:19 - Thomas Humblot

Well, investments that were previously worthwhile due to returns sufficient to cover the cost of capital may no longer do so and in turn that might lead to a decrease in demand for financing.

0:17:40 - Emmanuel Laborde

Thank you very much Thomas. Now let us move on to the emerging economies. And it is with Cynthia Kalasopatan-Antoine.

Hello Cynthia, and welcome.

0:17:54 - Cynthia Kalasopatan-Antoine

Hi, Emmanuel. Hello, everyone.

0:17:57 - Emmanuel Laborde

Long-term bond yields rose significantly in advanced economies over the summer. What can we now say about emerging markets?

0:18:06 - Cynthia Kalasopatan-Antoine

Emerging bond markets held up well, which is quite unusual. The rise in long-term sovereign yields in emerging countries has been less pronounced than in advanced economies, including the United States and Germany. Now, there are two main exceptions, Turkey and Poland. Meanwhile, we did not witness any significant correction in emerging financial markets over the summer, and the main currencies appreciated slightly against the dollar or the euro.

0:18:37 - Emmanuel Laborde

Does this mean that public finances are more robust in emerging countries?

0:18:43 - Cynthia Kalasopatan-Antoine

Well, it depends. You see, in cases like the Czech Republic and South Korea, public debt is moderate and macroeconomic fundamentals are solid. However, these countries are now less frequently considered as emerging and tend to be viewed as newly advanced economies. By contrast, Brazil and South Africa have weaker public finances and investors have already incorporated a higher sovereign risk into their assessments. And this is reflected in the bond yields. And this assessment of sovereign risk did not really change over the summer.

0:19:26 - Emmanuel Laborde

When comparing the main fiscal metrics, what are the trends? What do you see as an economist?

0:19:33 - Cynthia Kalasopatan-Antoine

On average, the fiscal metrics in emerging markets are not substantially worse than those in advanced economies. The average budget deficit levels are similar, ranging from 4% to 5% of GDP in 2025-2026, according to the IMF. And as in advanced economies, the public debt is higher than its pre-Covid level. However, the average public debt to GDP ratio in emerging countries excluding China is close to 60%, whereas in advanced economies, it is above 100%.

0:20:12 - Emmanuel Laborde

Do you arrive at the same conclusion when comparing debt sustainability criteria?

0:20:17 - Cynthia Kalasopatan-Antoine

Well, there are significant regional differences. In emerging Asia, the factors that determine debt sustainability are more often favorable than those in advanced economies. In Central Europe, the gap between the interest rate paid on debt and the GDP growth rate is also favorable. However, the primary deficits in some countries are high.

0:20:45 - Emmanuel Laborde

In a few words, a brief overview of the situation in Latin America.

0:20:49 - Cynthia Kalasopatan-Antoine

Well, Brazil and Mexico are in a less favorable position. These countries would indeed need to generate a significant primary budget surplus each year in order to stabilize their debt in the medium term.



0:21:07 - Emmanuel Laborde

Economists use the term original sin, which refers to the situation when governments resort to borrowing in foreign currency to address the shortfall in domestic financing. Does this phenomenon continue to distinguish emerging countries?

0:21:24 - Cynthia Kalasopatan-Antoine

Yes, this is still the case. Emerging countries still have a significant share of their debt in foreign currency. This represents about 35 to 40% of their total debt on average. And in fact, now, this figure has decreased over the past decade, and this contributes to their resilience. However, governments in emerging markets have a less favorable position as regards their debt profile and their financing costs are also on average higher.

0:22:02 - Emmanuel Laborde

And finally, just a few words about a larger subject, China.

0:22:07 - Cynthia Kalasopatan-Antoine

China's public debt is significant and growing rapidly. That being said, it is denominated in domestic currency and issued in domestic markets. This debt is, however, sustainable in the medium term due to a very low effective interest rate and a high growth rate.

0:22:29 - Emmanuel Laborde

Thank you very much, Cynthia, for being with us today.

0:22:32 - Cynthia Kalasopatan-Antoine

Thank you.

0:22:33 - Emmanuel Laborde

It is now time to conclude, and we welcome back Group Chief Economist Isabelle Mateos y Lago.

It is time for our conclusion with Isabelle. Once again, just a final question, please. Could or should, I do not know which word is the good one, central banks intervene to curb this rise in interest rates?

0:22:58 - Isabelle Mateos y Lago

Absolutely not. The main contribution that central banks can bring to dealing with this situation is to restore price stability, as is their mandate, as promptly as possible. And in the current circumstances, this means keeping relatively high policy rates, in some cases, rising them further. And the responsibility for keeping public finances on a sustainable footing rests squarely with governments and any attempt by these governments to instead take the easy way out by pressuring central banks to lower interest rates prematurely would be enormously counterproductive.

0:23:41 - Emmanuel Laborde

Thank you very much, Isabelle. Thank you all for joining us today. Just a few words to remind you that additional economic research content can be found by scanning the QR code shown on your screen. Do not hesitate to use it with your smartphone. It is very easy. It was a pleasure to be with you today. Have a nice day and hope to see you so



EDITORIAL

3

ARGENTINA VERSUS TÜRKİYE: WHEN DISINFLATION STRATEGIES ARE COMPARED, THE PICTURE IS NOT ROSY IN ARGENTINA

Among emerging markets, Argentina and Türkiye stand out for their particularly high consumer price inflation, currently standing at around 30% year-on-year in both countries. However, the monthly increase rate has fallen sharply – from around 8% in Argentina and 4% in Türkiye on average in 2023 to around 2% for both countries during the summer of 2026. The economic policy strategies adopted by governments and monetary authorities to bring inflation under control are very different. However, their consequences are too, and they are not positive for Argentina.

HUGELY DIFFERING ECONOMIC POLICIES THAT ARE NOT REFLECTED IN OVERALL ECONOMIC GROWTH

In Argentina, since Javier Milei took office, the strategy has been based on:

- 1/ A highly restrictive fiscal policy,
- 2/ A monetarist policy¹ entirely focused on the objective of disinflation, entailing high volatility in monetary interest rates,
- 3/ An exchange-rate regime which is still constrained by fluctuation bands.

In Türkiye, the strategy is based on:

- 1/ A fiscal policy of measured control of the public deficit,
- 2/ A monetary policy of interest-rate guidance compatible with a disinflationary path that can be revised as a result of unforeseen events,
- 3/ A floating exchange rate regime with occasional and limited interventions by the central bank should the lira drift off course.

In short, the Argentine government has opted for shock therapy, while the Turkish government and central bank have opted for flexible orthodoxy.

So far, Argentina's growth has held up well against the shock therapy. GDP has grown by just 4% since 2023 (compared with 8% for Türkiye), but this underperformance is actually a good result. Indeed, shock therapy is generally followed by a period of recession that can last several years, as was the case in Poland in the early 1990s.

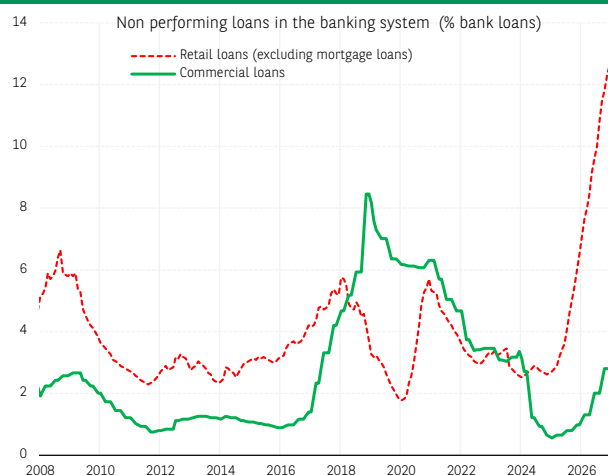
Therefore, when judged against the two main macroeconomic indicators, the results of the two economic policy strategies are positive, as inflation has fallen sharply and growth has been strong or resilient.

HOWEVER, IN ARGENTINA, MILLIONS OF HOUSEHOLDS HAVE SEEN THEIR CREDITWORTHINESS DWINDLE AS A RESULT OF ECONOMIC POLICY

The Argentine authorities have received a *satisfecit* from the IMF for the radical economic policy pursued by Javier Milei's government. This radical shift was needed not only to curb inflation, but also to restore public finances. However, Argentina's macroeconomic picture contains a worrying grey area, as households' ability to repay non-mortgage loans has very worryingly deteriorated since spring 2025, both in terms of the speed and scale of the decline – a situation not seen since 2008.

¹ Growth in monetary aggregates is the only instrument.

Significant deterioration in the creditworthiness of Argentine households



SOURCE: CENTRAL BANK OF ARGENTINA (BCRA), BNP PARIBAS

The Central Bank of Argentina estimates that 5.8 million people are more than 90 days in arrears on their loan repayments, and around half of these loans are viewed as irrecoverable. In Türkiye, there has also been an increase in non-performing loans for household loans excluding mortgage loans, but to a much lesser extent (from just under 3% at the end of 2023 to around 4.5% at present).

Growth in Argentina has been particularly unbalanced since 2024, as it has been driven mainly by the agricultural sector (+50% since 2023), the fishing sector (+14%) and the mining sector (+24%). Conversely, activity in the construction sector contracted by 13%, while manufacturing-sector activity fell by 9%. Growth has also been driven by the financial-intermediation sector. Activity in this sector has likely benefited from the easing of exchange controls. However, growth has been so strong (+23% since 2023) that it has been fuelled by rising household debt, as households have faced a major shock to their incomes.

The federal government's wage bill has fallen by 0.7 pp of GDP since 2023, while it has risen by 1.2 pp in Türkiye. In Argentina, the recession in the aforementioned economic sectors has led to a 3% fall in private-sector wage employment and a 9% fall in real wages.



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Conversely, in Türkiye, both figures have risen by 6% and 27%, respectively. Finally, in Argentina, current transfers to households from the federal government have fallen by 2 pp of GDP, compared with a reduction of 1.1 pp in Türkiye².

Against this backdrop, Argentine households have been forced to take on debt. The sharp upturn in bank lending from mid-2024 onwards, coupled with easier access to credit proposed by major retail chains and loans at exorbitant interest rates offered by new-economy firms to their employees, have fuelled debt traps. In Argentina, the average real interest rate on personal loans stood at 64% in August, compared with 30% in Türkiye³.

A RISK OF PROLONGED STAGNATION OR EVEN RECESSION IN ARGENTINA

The IMF does not view the rise in non-performing loans as a risk to the Argentine economy, as the household debt ratio is low (at around just 5% of GDP), a level well below other Latin American countries. Furthermore, the rise in corporate non-performing loans remains contained. However, lending to households, excluding mortgages, accounts for around 50% of the banking sector's total lending to the private sector, which is still 22% of the total assets.

In summary, while Milei's government's shock therapy, implemented since 2024, has undeniably succeeded in tackling inflation, millions of Argentine households have been caught in a debt trap, which is not the case in Türkiye. The risk of a systemic credit crisis for the Argentine banking system may be low. But the risk of prolonged stagnation or even a recession is very high. Indeed, household consumption is bound to slow sharply. Growth will then rely exclusively on agricultural and mining-product exports, which look set to experience a loss of momentum.

François Faure

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² In Türkiye, this is a pro-cyclical decline, whereas in Argentina, the decline is due to restrictive measures, particularly around subsidies.

³ These average rates do not include credit-card interest rates, which are by far the highest. Furthermore, in Türkiye, the rate includes mortgage rates, meaning that the comparable rate with Argentina is higher. However, this would only marginally reduce the gap.



[Find out more in our scenario and forecasts](#)

UPCOMING DATA

- **UN General Assembly:** President Trump will be meeting with several foreign leaders including Ms. Takaichi and Messrs. Burnham, Xi, and Zelensky.
- **Advanced Economies:** September flash PMIs (Wednesday/Thursday).
- **United States:** Sept. Richmond manufacturing survey (Monday), August durable goods orders (Friday).
- **European Union:** EC consumer confidence flash (Tuesday), Germany September Ifo and France INSEE business climate (Thursday), August credit and money supply (Friday).

ADVANCED ECONOMIES

EUROZONE / EUROPEAN UNION

ECB speakers temper hawkish tone even as incoming data points to resilience. Several Governing Council members confirmed the ECB might need to increase interest rates further but signaled they saw no haste to do so (including President Lagarde and Vice-President Vujicic). (We foresee a final 25 bps hike in December). In July, **exports** rose 1.2% m/m while imports fell 0.4% m/m; exports to the US rebounded (+6.0% m/m), offset by a similar decline in sales to China. **Industrial production** fell less than expected in July (-0.1% m/m, -0.3% m/m for manufacturing), held back by lower motor vehicle output, while computer and electronic equipment bounced back sharply. Forward-looking PMI and EC surveys signal further improvement ahead. The ECB wage tracker points to a pick-up in wage growth in 2027 after stabilising in H2 2026, with the base-wage index reaching 2.9% y/y in June 2027—though not signaling “second-round effects” from the ongoing inflation spike. Consumer inflation expectations (ECB survey) edged up in August, however, with the median up 0.1 pp both for one year (3.0%) and five-year (2.5%) ahead. The ECB’s Supervisory Banking Statistics revealed a **strong banking system as of end-Q2 2026**. Capital ratios remain at record highs (16% in Q2 2026 for CET1), whilst non-performing loan (NPL) ratios were at record lows (2.2%). Return on Equity reached a peak not seen since 2015 at 10.73, thanks to a cost-to-income ratio at its lowest level since 2015 and stable net interest margins.

Transatlantic relations: Two surprise rapprochements. On Friday, President Trump announced the US had reached an agreement with Denmark and Greenland giving the US “permanent control over security and other needs” including by restricting the rights of non-NATO members in the territory. Denmark confirmed the deal should be signed soon. Also unexpectedly, President Von der Leyen used her SOTEU speech to offer Canada “associate membership” in the EU, an undefined status that does not exist in the EU treaties and would require unanimous approval from the 27 member states.

France: Higher fiscal deficit and lower growth forecasts overshadow positive news on business starts. Prime Minister S. Lecornu announced that the budget deficit is expected to reach 5.4% of GDP in 2026, versus 5% targeted and 5.1% in 2025. This overrun stems mainly from interest payments, fuel subsidies, and below-forecast growth. The draft budget for 2027 is expected to target a deficit of 5% of GDP. Government spending would be completely frozen (excluding interest payments and defence), and the fiscal effort would aim to be more evenly distributed than in the past.

Meanwhile, the **Banque de France (BdF)** has lowered its growth forecast from 0.5% to 0.4% for 2026 and left unchanged its forecast for 2027 at 0.9%. The **OAT-bund spread topped 100 bps** on Friday, its highest since 2012. More positively, **business creations rose 16% y/y in August** and 12% y/y YTD. The strongest growth was seen in the information and communications sector (+57% y/y; Ytd +46% y/y) and business services (+15% y/y; Ytd +19% y/y). According to the BdF, business insolvencies increased by 4.6% y/y after +5.1% y/y in June. They are declining in construction (-2.4% y/y), stabilising in retail, but continuing to rise in certain service sectors. According to Altarès, late payments fell to their lowest level in three years. Wage growth accelerated to 2.4% y/y in Q2 from 2.1% y/y in Q1, mainly driven by the increase of the minimum wage in June.

Germany: Confidence and producer price inflation rise to new highs. The current economic situation index rose by 14 pts to its highest level since May 2023 (at -47.1 in the ZEW survey for September). The Economic expectations index rose by 0.5 pts to 34.7, its highest level since February 2026. Improvements were seen across all sectors, with only construction and retail remaining below their pre-Iran war levels. Wholesale prices rose by 6.8% y/y in August (vs. +5.3% in July) due to energy prices, while PPI grew by 4.6% y/y (vs. +3.0% in July and +4.1% expected). Prices for intermediate goods rose by 6.1% (from 5.4%) due to a surge in metal prices.

UNITED KINGDOM

A hawkish BOE hold as inflation picks up and activity data reassures. The Bank of England left the Bank Rate unchanged at 3.75% (6-3 vote), as expected, but shifted its tone to suggest readiness for a conditional 25bp ‘insurance’ hike to 4% in November. More unexpectedly, the BOE announced significant **quantitative tightening (QT) relief** with a new Gilt divestment schedule through 2034 that features a pause in active sales until April 2027, direct sales to the Treasury’s debt management office (instead of to the market), and a cessation of sales for bonds maturing after 2049. Gilts rallied on the news. **Headline CPI accelerated** to 3.1% y/y in August (vs. 2.9% in July), meeting market expectations, primarily driven by rising transport and fuel costs, notably diesel (+8.0% m/m). Core CPI remained stable at 2.6% y/y. **Retail sales volumes unexpectedly rebounded** to 0.5% m/m in August (2.4% y/y), despite a drop in fuel sales. **Unemployment held steady at 4.9%** in July for the fourth consecutive month (vs. 5.0% expected). Wage growth accelerated slightly to 3.5% in the 3 months to July, driven by the public sector (+6.7%).

UNITED STATES

Kevin Warsh’s Fed delivers. The Fed convincingly set aside doubts regarding its seriousness about restoring price stability by not only raising the Fed funds target range by 25bp to 3.75-4.00% (as widely expected), but doing so unanimously, and with strong ownership by Chair Warsh, who hawkishly described the move as “removing a dose of accommodation”. 16 (out of 19) FOMC members now expect another hike by year-end, and 8 expect another to be necessary thereafter. The FOMC statement and Summary of Economic projections both expressed confidence in the strength of US economy, with not a single member seeing risks tilted to the downside (a first since 2017). The Committee foresees inflation returning to its 2% target before 2029, with unemployment falling to 4.1% and GDP growth revised higher and remaining above trend through



[Find out more in our scenario and forecasts](#)

2028, *i.e.*, immaculate disinflation. We expect at least two more rate hikes, with the next one in December as our base case, but October not ruled out. In other news, in July, **foreign private investors turned net sellers** of Treasury bonds and notes (USD -29bn) and US equities (USD -10bn), while non-resident official investors turned net buyers (USD +25bn and USD +14bn, respectively). However, private investors' cumulative net purchases of equities since the beginning of the year exceed those of last year (+386 bn vs. +269 bn). The cumulative net purchases of Treasuries by the official sector remain modest (+22 bn 7M26 vs. +10 bn 7M25). Latest data points to **continued strength in price pressures and activity, except in housing**: Further inflationary impulse is evident from import prices (+7% y/y in August, a four-year high, largely driven by AI-related capital goods) and from the Philadelphia Fed index of delivery times and backlog gauges hitting their highest levels since 2022. August retail sales were robust (+1.2% m/m, +1.4% m/m for the core) and jobless claims fell more than expected by 10k to 196k, one of the lowest readings since 1969. Housing indicators weakened further in August, with both building permits and housing starts falling (-2.7% and 2.6% m/m, respectively). Separately, the **Clarity Act failed in the Senate** before reaching the floor. The Act aimed to provide a federal regulatory framework for cryptocurrencies and stablecoins and was seen as a booster to their expansion.

JAPAN

An insufficiently hawkish rate hike as reflation continues. The Bank of Japan (BOJ) raised its benchmark interest rate by 25 bps to 1.25%, a level not seen since 1995. The move had been expected, and Governor Ueda tried to sound hawkish at the press conference, stressing the focus had now shifted to preventing above-target inflation. However, the lack of unanimity of the decision disappointed markets (2 members appointed by Prime Minister Takaichi dissented). The currency weakened markedly following the decision, to 157 per dollar. Headline **CPI was stable at 1.9% y/y in August**, as was core CPI excluding fresh food and fuel, holding at its fastest pace in three months and pointing to relatively persistent underlying demand-driven price pressures. As such, we expect the BOJ to continue to tighten monetary policy to 1.75% by March 2027. **Exports rose 19.3% in August**, topping market consensus, supported by robust demand for AI-related chips. Industrial production fell 0.2% m/m in July, defying estimates of a 0.1% rise and marking its first decline since March. **Machinery orders remained strong**, increasing 11.2% y/y, despite a volatile m/m decline. The capacity utilisation index rose 0.5% m/m to its highest level since December 2023. PM Takaichi has proposed a **temporary food tax cut** (from 8% to 1%) through 2029. Despite government plans to avoid additional borrowing, the reform faces market skepticism regarding long-term fiscal discipline and internal party dissent.

EMERGING ECONOMIES

EUROPE, MIDDLE EAST, AFRICA

Czech Republic: Monetary policy on hold as expected at 3.75%. The Central bank remains the most hawkish in the region and has floated the possibility of a rate hike by year-end.

ASIA

China: A continued K-shaped growth. August activity data confirmed the wide divergence between solid growth of external demand-driven manufacturing sectors and sluggish growth of sectors dependent on domestic demand. Industrial growth accelerated to +5.2% y/y from +4.5% in July, notably supported by semiconductor production (+20.6% y/y). The contraction in production of refined

products eased in August (-6.9% y/y vs. -16.8% in June-July), following the recent rebound in Chinese crude oil imports. Meanwhile, growth in services continued to slow (+4.1% y/y vs. +4.3% in July). Household spending barely increased in August, as suggested by weak retail sales (-0.4% y/y in volume), the continued decline in bank loans to households (-1.6% y/y) and falling housing sales (-16.2% y/y in volume). Total investment continued to contract (-7.2% y/y in nominal terms in the first eight months of 2026). Nevertheless, the **Yuan hit a four-year high** ahead of a Trump-Xi meeting next week.

Rest of Asia: Inflation reacceleration in several economies. In **India**, CPI inflation accelerated to 4.8% y/y in August from 4.5% in July, with food inflation rising to 6% and core inflation at 4.2%. Inflation is no longer confined to food and transport. With the US monetary tightening, expectations of rise in policy rates by the end of the year have increased, although the timing remains dependent on oil prices and downward pressure on the rupee. In **Malaysia**, August CPI at 1.9% y/y (vs. 1.8% in July) remains benign despite energy price pressures. **Elsewhere in SEA**, inflation is mixed: Thailand at 2.5% (vs. 1.9% in July), Philippines almost stable at 6.1%, Indonesia at 3.2% (vs. 2.9%) and Vietnam at 4.9% (vs. 4.5%).

LATIN AMERICA

Argentina: Second estimates of real GDP for Q2 confirm the contraction (-0.6% q/q). All components of domestic demand fell, especially private consumption (-2.4%). The contraction would have been worse without the large positive contribution of net exports (+1.6 pp). In y/y terms, growth decelerated to only 1.4%.

Brazil: The Selic rate was cut by 25 basis points to 13.75%. The Central bank keeps a "meeting-by-meeting" prudential approach to preserve its flexibility. Three weeks before the first round of the presidential election (October 4), the Copom avoids giving any strong signal that could be interpreted as a political stance.

ENERGY

Stabilisation at high levels: Brent oil prices remain above 100\$/b but stabilised at a slightly lower level than last week, on hopes of a new diplomatic round in Iran and expectations of a rapid restoration of the Saudi East-West pipeline. However, physical crude markets remain severely dislocated (Brent physical/future spread is above 20\$/b against 3\$/b on average in August) and diesel crack spreads remain near their highs (above 90 \$/b in Europe and above 110 \$/b in the US) as market tensions are stronger than for crude. On Friday, President Macron called a special G7 Summit to discuss additional release of Strategic Petroleum Reserves. European gas prices were almost stable during the week (77 €/MWh on Monday 21st). EU storage reached a better than expected 68.8% of full capacity (September 17th). In Asia, JKM continues to rise (+7.5% w/w) on the back of unusually hot temperatures in Japan.



STRATEGIC PRODUCT VULNERABILITY? CHINA LEAST, THEN EUROPE AND THEN THE US

Koen De Leus

“Germany is too dependent on the US for its security, on Russia for its energy and on China for its exports.” That was, in essence, Brookings’ Constanze Stelzenmüller’s diagnosis in June 2022, and it was – and is – valid as well for Europe as a whole.

But does this dependency also apply to technological and industrial products? The European Commission’s EXternal Vulnerability Index (EXVI) answers that very question, mapping out the EU’s exposure to foreign supply chains.

EXVI is built on two pillars, with two simple questions for each product: 1/ How dependent is a region on a handful of foreign suppliers? 2/ How globally competitive is it in that product measured by its imports versus exports? The result is a single score from 0 (low vulnerability) to 1 (high). A region scores high (vulnerable) when there is both a heavy reliance on others and a weak market position.

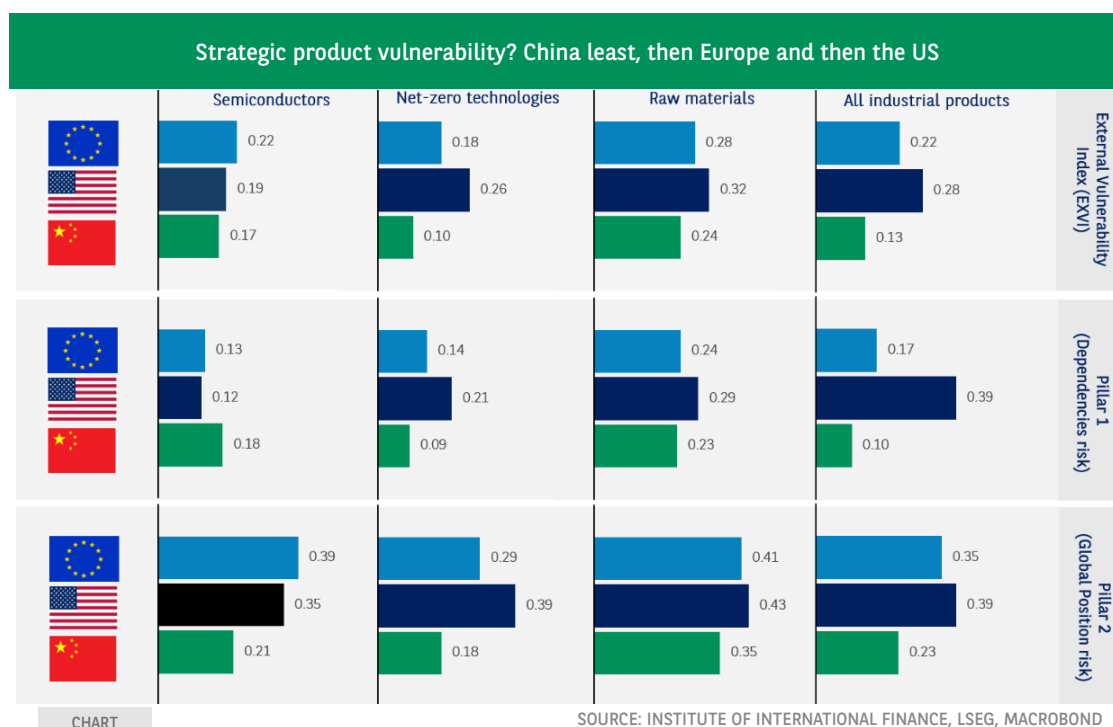
Relatively good results for the EU

The EU is relatively well positioned, with a score of 0.18 on net-zero technologies and 0.22 on semiconductors. Raw materials appear to be the weakest point (0.28). Interestingly, compared to its peers, the EU is more vulnerable than China across all three chains (0.13), but significantly less vulnerable than the US overall (0.22 vs. 0.28). The only sector where the EU score is weaker than the US one is on semi-conductors, and the difference is not large (0.22 vs 0.19). Like the EU, the US’ vulnerability is biggest in raw material (0.32). This is, among other factors, due to outsourcing polluting mining starting in the 1990s. Looking at the essential components for the green transition, the EU score on raw materials is concerning, but the better one on net-zero technologies is more encouraging.

The EU challenge is not its dependencies but its relatively weak global position

Taking a closer look at the two pillars across the different products, it becomes clear that Europe’s problem is mainly related to its global position (Pillar 2). Dependency (Pillar 1) itself is not the core issue, with much lower scores than the ones for Pillar 2. The EU dependency risk on raw materials is even comparable to China score (0.24 vs 0.23), and the EU score on semi-conductors (0.13) is the lowest of the other results for the region.

On the other hand, Pillar 2 scores are more negative, illustrating the lack of EU competitiveness in these areas, with scores hovering between 0.29 for net-zero technologies up to a high 0.39 for semiconductors and 0.41 for raw materials. Europe simply does not produce enough of these products at competitive prices, as big European companies in these sectors are limited. Take semiconductors, for example. Imports are not extremely



concentrated, as shown by the relatively low Pillar 1 score of 0.13. However, the high Pillar 2 score of 0.39 shows that the EU is weak at producing semiconductors itself. That is precisely why the European Chips Act is focusing on building domestic production capacity rather than on diversifying imports. The same reasoning applies to raw materials and, to a lesser extent, to net-zero technologies.

One trend is undeniable: China consistently enjoys the lowest vulnerability. Decades of strategic plans, as well as subsidies and other practices to restrict open markets, have enabled it to build up domestic supplies and stocks.

The EU's multiple responses

Looking ahead, the EU can deploy a number of options in response, from circularity to domestic mining, including international partnerships. Brussels is aiming to mine or recycle 10% of critical materials by 2030, but there is paradox at play here, as circularity only works once sufficient volumes have first been mined and used. Therefore, in the coming years, international partnerships will be a priority and, for that matter, the EU has been very active on that front since the start of the second Trump presidency.

The EU is aware of the challenges that it faces. And the EXVI indices are particularly relevant for assessing supply chains targeted by major policy initiatives, such as the Chips Act (strengthening the EU's semiconductor ecosystem and technological sovereignty), the Net Zero Industry Act (NZIA) (building domestic manufacturing capacity for clean-tech products such as solar, wind and batteries) and the Critical Raw Materials Act (CRMA) (securing and diversifying the EU's supply of critical and strategic raw materials). The challenges have been identified and an action plan has been drawn up. Now it needs to be implemented on the ground.

1 The latest full report is dated January 2025 and can be found here: [EXternal Vulnerability Index \(EXVI\) - Internal Market, Industry, Entrepreneurship and SMEs](#).

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EMERGING ECONOMIES: WHY ARE FINANCING CONDITIONS HOLDING UP WELL AGAINST THE ENERGY SHOCK?

François Faure

Six months have passed since the start of America's and Israel's military intervention in Iran and Lebanon. What picture is emerging around the impact of this external shock on the financing conditions of the major emerging economies and on exchange rate movements? And what parallels can be drawn with the 2022 energy shock?

Emerging economies: greater financial resilience to the shock from the Middle East

Change in 10Y domestic government bond yields (basis points)

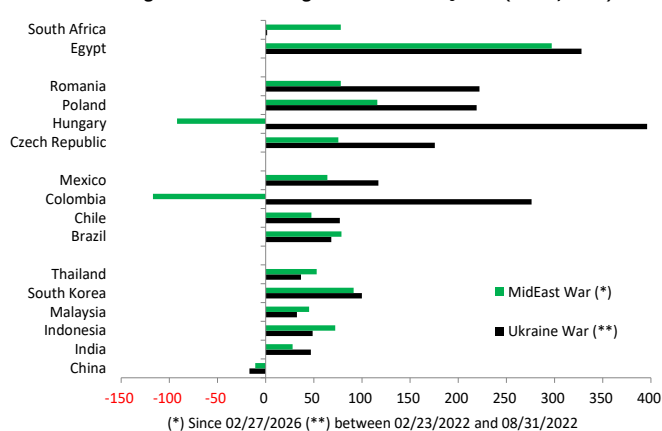


CHART 1

Change in 5Y CDS spreads (basis points)

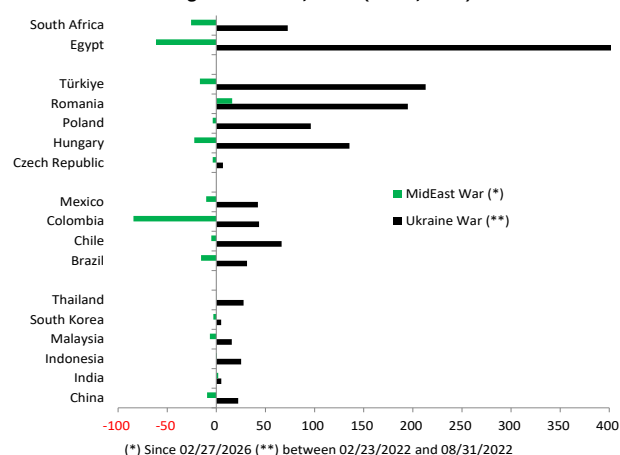


CHART 2

Non-residents portfolio capital flows to EM excluding China, South Korea and Taiwan

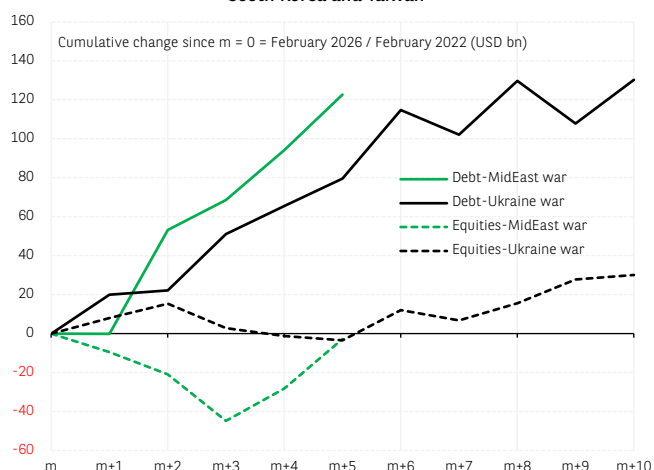


CHART 3

EM official fx reserves excluding China, South Korea and Taiwan

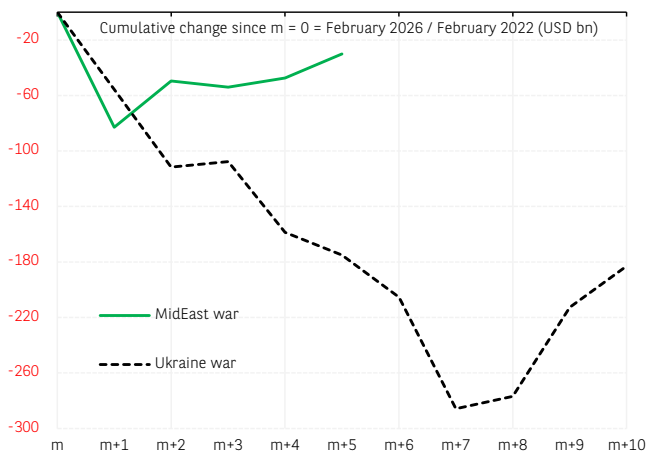


CHART 4

SOURCE: INSTITUTE OF INTERNATIONAL FINANCE, LSEG, MACROBOND

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Financing conditions and exchange rates are holding up better in 2026 than in 2022...

As far as the cost of domestic financing in local currency (by far the main source of government funding) goes, bond yields rose less sharply, particularly for Asian countries, with Türkiye standing as the sole exception (Chart 1)¹. The main explanation for this is that in 2022, faced with rapidly surging inflation, almost all central banks had raised their key interest rates. Conversely, since February, few have done so, and some have even continued their easing cycles. However, spreads relative to benchmark yields (US or German) have narrowed for virtually all countries (apart from Türkiye), whereas in 2022, by contrast, these spreads had widened for Central European countries.

This reflects the reaction of the markets, which are just as concerned, if not more so, about the deteriorating public finances in advanced economies as they are about those in emerging economies. In fact, real bond yields² in the Asian countries in the sample are currently approximately the same value as at the end of 2019 (before the succession of external shocks that have occurred since the COVID pandemic and the almost universal rise in public debt ratios). By contrast, real bond yields in advanced economies have gone from negative to positive territory.

In terms of the cost of external foreign-currency financing, measured by benchmark bond yields (the basis) plus risk premiums (measured by CDS spreads), the basis has clearly risen as bond yields in advanced economies have normalised since 2022. However, risk premiums have not widened since the end of February, whereas they had tightened for the vast majority of countries in 2022 (Chart 2). Finally, currencies have depreciated less than in 2022, and most have even appreciated since late spring or early summer last year. Overall, financing conditions have deteriorated less than in 2022.

...thanks, in particular, to support from non-resident investment in local bond markets

According to the Institute of International Finance (IIF) estimates, non-resident portfolio investment in debt securities and equities in emerging markets has held up better this year than in 2022 (Chart 3), if we exclude China from the sample (due to its dominant weight), as well as South Korea and Taiwan, which are by far the most advanced countries in the IIF sample³ and have seen massive outflows of investment from equity markets since March⁴. In this adjusted sample, the increased investment in debt securities was significantly greater than in 2022, while trends in equity investment were broadly similar, in line with the smaller widening of bond yields in local currency and the smaller depreciation of currencies.

For the most advanced Asian countries, trade surpluses have offset outflows of non-resident portfolio investment in equities

A comparison of trends in foreign exchange reserves and trade balances – the only data available on balance of payments items other than non-resident portfolio investment for all countries in the sample over the past 5–6 months – provides further insight. Trends in foreign exchange reserves (Chart 4) appear to confirm the view that exchange rates are holding up better⁵. However, trends in trade balances are the same. Nevertheless, for South Korea and, to a lesser extent, Taiwan, the surging trade surpluses (driven by the AI boom in particular) are behind the appreciation of exchange rates over the summer, despite outflows of portfolio investment up until July⁶.

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¹ Türkiye is a very special case, as developments are shaped not only by external shocks but also by domestic political risk.

² i.e. adjusted for core inflation.

³ The IIF sample does not include Hong Kong or Singapore.

⁴ USD 88bn for South Korea and USD53 bn for Taiwan.

⁵ The link between falling foreign exchange reserves and exchange rate depreciation only holds true under a pure or managed floating exchange rate regime (i.e. with occasional interventions by the central bank); under a fixed exchange rate regime, defending the exchange rate goes hand in hand with a fall in the central bank's foreign exchange reserves. The emerging economies in the sample all operate under pure or managed floating exchange rate regimes.

⁶ Thus, from January to August, South Korea's trade balance showed a cumulative surplus of just over USD 200 bn, compared with a deficit of 25 bn in 2022.



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